

DIRECTORS' REPORT

To
The Members,

On behalf of the Board of Directors, it is our pleasure to present the Third Annual Report together with the Audited Statement of Accounts of Mirae Asset Investment Managers (India) Private Limited ("the Company") for the period from January 01, 2021 to December 31, 2021.

FINANCIAL HIGHLIGHTS:

The summarized results of your Company are given in the table below:

Particulars	Rs. In Million	
	For the period from January 01, 2021 to December 31, 2021	For the period from January 01, 2020 to December 31, 2020
Total Income	3,230.64	1,873.57
Total Expenses	1,172.54	782.26
Profit Before Tax	2,058.10	1,091.31
Provision for Income Tax (including for earlier years) and Deferred Tax	520.99	272.79
Profit After Tax	1,573.11	818.51
Total Other Comprehensive Income	0.38	(2.54)
Total Comprehensive Income for the period	1,537.49	815.97
Adjustment for Business Transfer	895.13	(44.54)
Profit/(Loss) brought forward from previous year	-	123.70
Income Tax Liability under Business Transfer written back	2,432.63	895.13
Profit/(Loss) carried forward to Other Equity	3,230.64	1,873.57

***previous year figures have been regrouped/rearranged wherever necessary.**

The Company have adopted the Indian Accounting Standards (Ind AS) since F.Y. 2020.

STATE OF THE COMPANY'S AFFAIRS

The Company was incorporated on April 26, 2019. It may be noted that Mirae Asset Global Investments (India) Private Limited, the holding company of the Company, had made an application to SEBI for change in the Asset Management Company of Mirae Asset Mutual Fund. Accordingly, SEBI vide its letter dated November 20, 2019 granted approval for change in Investment Manager from 'Mirae Asset Global Investments (India) Private Limited' to the Company. Pursuant to the same, Mirae Asset Global Investments (India) Private Limited entered into a Business Transfer Agreement

with the Company dated 1st January, 2020 and an amendatory agreement dated 7th January, 2020, to transfer its asset management business & advisory business to the Company. Subsequently, the Company was appointed as the Asset Management Company (AMC) of Mirae Asset Mutual Fund by the Trustee vide Investment Management Agreement ("IMA") dated January 01, 2020 entered into between Mirae Asset Trustee Company Private Limited and Mirae Asset Investment Managers (India) Private Limited. The AMC was also appointed as the Asset Manager to Mirae Asset AIF for Category II Fund viz. Mirae Asset Credit Opportunities Fund vide Investment Management Agreement ("IMA") dated January 01, 2020.

DIVIDEND

Your Directors do not recommend any dividend for the year ended December 31, 2021.

TRANSFER TO RESERVES

It is not proposed to transfer any amount to reserves during the year ended December 31, 2021.

ECONOMIC OUTLOOK

2021 – A swift, split, and stimulus-propelled global rebound year. Major economies were able to recover from the initial slowdown. However, just as the world was turning optimistic about returning to normalcy, having put the Delta variant surge behind, and with vaccination levels nearing the threshold, a new variant, Omicron, has brought about a fresh round of uncertainty. During the year, economic challenges for global central banks shifted from growth to inflation.

At home, we faced the worst time from March to June due to the second wave of COVID-19; but, if we look at the end of the year, most of the restrictions are uplifted and macroeconomic data has gradually improved. Unlike, at the start of the year, India appears to be in a very strong position relative to the rest of the world led by improvement in vaccination rate and demand normalization.

Global economy and central banks

At the dawn of 2022, all major global central banks, including the Federal Bank, seem to be entering into the monetary policy normalization phase, with the tapering being the most common starting point. This is in sharp contrast to 2021, when all the major central banks were committed to “lower rates for longer.” Despite the new variants creating uncertainty, the yields have moved up as a result of central bank actions and economic recovery.

Macro data shows resilience

Global and domestic economy has shown remarkable resilience. United States (US) Jobless claims have improved from 787K to 222K. Also, PMI is up from 57.1 to 58.3 for the US and 55.2 to 58.5 for Eurozone. This recovery is despite the new variant led disruption and also higher crude prices which were up from a low of USD 19/bbl in 2020 to a high USD85/bbl in 2021 due to limited supply from OPEC+.

The Indian economy seems to be roaring back to the pre-pandemic levels despite the severe second wave, and appears to be poised for above-trend growth in 2022 (GST collections consistently above INR1t, rail freight growing at 10–12% YoY, and property sales on an uptrend), assuming a normal scenario. With regard to economic growth, a marked improvement is seen, with Gross Domestic Product (GDP) likely to grow 9–10% in FY22 (as per the IMF) from a sharp contraction in FY21.

Government Action – prioritizing growth over fiscal

Growth has been a higher priority for fiscal as well as monetary authorities. The fiscal situation has been well-managed with a steady pace of expenditure, while tax revenues have been fairly buoyant. The government remains on track to meet the GFD/GDP target of 6.8% in FY22, without any additional borrowing's v/s the budget estimates.

The external sector balance has remained comfortable, although the trade deficit has widened significantly over the last few months. Current account deficit came in at a surplus in 2QCY21 and moved back into deficit subsequently. The RBI's FX reserves of around USD 635 billion, built through positive BOP through the year, provide a buffer against any sharp and sustained depreciation bias on the INR.

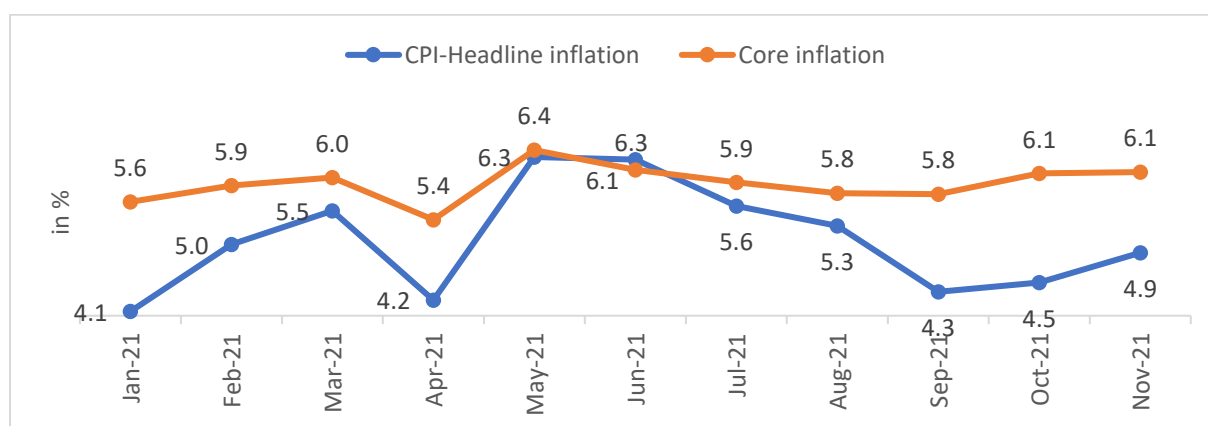
Proactive RBI actions

In 2021 as well, the RBI was extremely proactive and innovative in undertaking a series of actions to safeguard market stability by ensuring adequate liquidity and management of the yield curve. India stands out as, perhaps, the sole exception at the moment – at its December policy review, the RBI reinforced its ultra-loose accommodative stance, supported by relatively better-behaved headline inflation, largely staying within its target band of 2–6% and armed with a strong forex kitty well in excess of USD 600 billion (among the Top 5 in the world).

It now endeavors to restore the revised liquidity management framework instituted in February 2020 by actions through VRRR increased pace and quantum.

Inflation remains a concern

Inflation remains one of the key concerns this year as well. The unrelenting onslaught of inflation in the second half of 2021 – with the year ending at a nearly 40-year high reading of 6.8% on the headline CPI in the US, for example – has left central banks with little choice. However, uncertainties arising out of the highly transmissible Omicron COVID variant, perhaps, warrant a bit more patience, so the solid gains from an accommodative policy framework in the last two years, when the pandemic has ravaged the world, are not lost.



Source: Bloomberg as on 14th Jan, 2022 CPI - Consumer Price Index

Inflation in India has surged to nearly 6%, closer to the upper band of the RBI threshold, due to a) supply-side disruption and b) a rise in the food, vegetable, and fuel components. However, at the start of 2021, inflation had moderated largely on favorable base effects, which started to rise yet again from May due to an increase in the food, energy, and core components. Inflation was back in the moderation phase from September on account of subdued food inflation. At the end of 2021, upside risks to inflation

remained on account of the ongoing energy crisis, supply-side disruptions / pending price hikes, and adverse base effects.

DEBT OUTLOOK 2022

Extrapolating the present trend would suggest that global central banks would follow through on the current tapering schedule with a shallow rate hike cycle. The market seems to price 3–4 rate hikes of 25bps each in the US. Although, the possibility of consistent disruption from Omicron or subsequent variants and a relapse into economic slowdown in the absence of further fiscal boost (such as seen in 2021) may not cause an aggravated tightening cycle, which may peak with rates still in accommodative zone.

After remaining abnormally high last year, a strong base effect and slowing momentum may result in headline inflation beginning to somewhat relent. The obsession central banks have with not tolerating any market disruption provides hope that the ongoing normalization process may be as disruptive as historically observed. As such, the consensus view in the global markets is that the curve would flatten. **Broadly, analysts expect short-term rates to move up in line with the taper and rate hikes by the central banks.**

As for India, the RBI's unequivocal guidance remains that of overarching support for sustainable growth, while keeping a hawk-eye on inflation. With strong and improving macro fundamentals domestically, the only factor that may divert regulators towards an accelerated tightening may have to come from an external sector. That may be faster than the currently projected global rate hike cycle, any major forex outflow from Indian markets, or any disruption in the emerging markets or similar.

The RBI has currently been calibrating system liquidity by gradually increasing the variable rate reverse repo auction amounts and extending the tenure that may shift the operative overnight rate towards 4% in due course. While it could be a de-facto rate hike of 65bps, it may allow the RBI to retain the flexibility to respond to the evolving situation without falling behind the curve. As such, the expectation is that liquidity would gradually normalize in 1H2022. Any possible repo rate hike may only come in the latter part of the year, going by the current guidance from regulators. **Thus, we expect the yield curve to flatten, with short-term rates moving up more than long-term rates.**

Looking at the scenario, the year ahead will likely continue to throw up volatility. Investors may look for the strategy with exposure at the shorter end (0 – 3 months) and medium end (3 – 5 years) of yield curve in line with their Investment horizon and risk appetite. This strategy will allow to take advantage flattening curve.

EQUITY OUTLOOK 2022

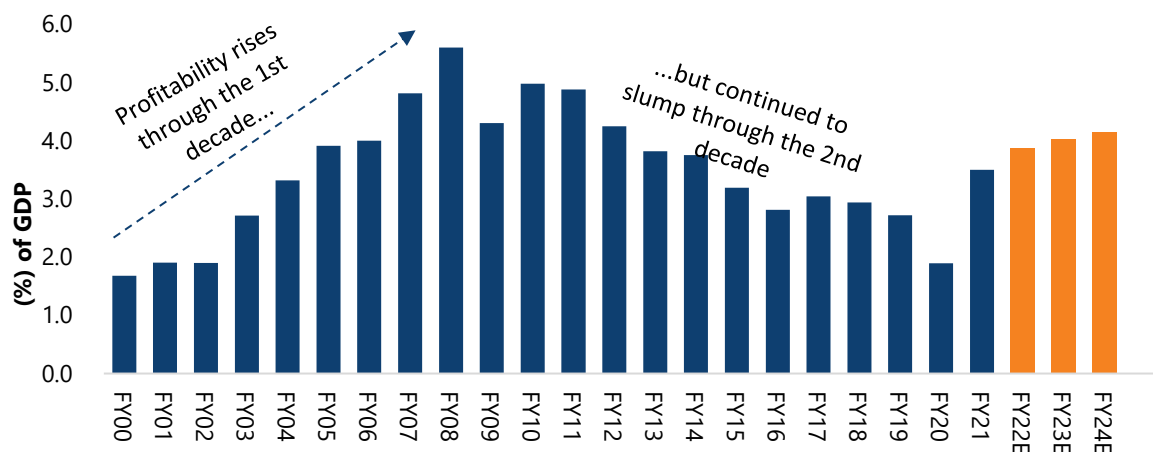
We believe India has entered a period of strong economic and earnings growth. The key pillars for earnings growth are as follows:

- **Stable macros and reforms to improve growth:** We believe India has entered a period of strong growth given the stable macros related to forex, current account, inflation, and interest rates. Moreover, supportive government policy and ongoing reforms – such as GST, IBC, RERA, labor laws, and the focus on manufacturing via PLI – would aid medium-term recovery.
- **Revival in Housing cycle:** A decisive turnaround is seen in the Housing sector following a seven-year slowdown. The revival is attributable to the best affordability in two decades, driven by low interest rates and benign property prices.
- **Improvement in Banking sector:** System-wide gross non-performing loans have reduced by 400bps in the last four years. We believe the reversal of the bad loan cycle should help improve profitability and lending capacity.
- **Formalization and consolidation:** Multiple factors have led to consolidation in multiple sectors, with strong companies getting stronger and weaker ones being marginalized. The massive

consolidation comes as a result of back-to-back events such as the demonetization, GST regime, digital acceptance, and various reforms. This consolidation is a positive for the Top 500 companies.

- **Improved outlook for IT sector:** The IT sector has witnessed the best period recently owing to the front-loading of demand and cost savings in demand fulfillment. The sector would give best-in-a-decade salary increases, which is a positive for the Consumer Discretionary business.
- **Deleveraging:** Corporate debt/equity has reduced from 1x to 0.6x in the last six years. We have particularly seen massive improvement in balance sheets in the Metals sector, which is not geared for new capex.
- **Improving corporate profitability and ROE:** We believe corporate profitability is at an inflection point and would result in meaningful earnings growth. Corporate profit to GDP reached multi-year lows of 1.8% in FY20. Thereafter, it has now already improved to 3.5% and is likely to improve further. Resultantly, corporate ROE at 12.5% is at seven-year highs.

Corporate profit to GDP ratio to improve



Source: Factset, CMIE, Jefferies, as on 31st Dec, 2021

We are constructive on equities

Equity market returns are a function of earnings growth, valuation, interest rate, and flows. As mentioned above, India is on the cusp of achieving robust growth over the next few years. The Nifty index is currently trading at about 17x FY24E earnings, which is at an aggregate-level small premium to historical averages. However, we believe valuations are reasonable given the expectation of 22% earnings growth over FY20–24 as well as low cost of capital.

We believe domestic flows would remain strong given the low penetration of equities within household savings. FII flows would also improve over the medium term as India remains among the fastest growth economies.

We would advise investors not to time the market and invest in equities for the long term within their earmarked asset allocation in a disciplined way (based on one's risk profile). The staggered investments through SIPs or STPs would remain the best ways to invest in equities.

In the current market context, one can keep higher allocation towards largecaps and hybrid category funds, and have a relatively higher investment time horizon for midcaps and any sectoral funds.

Monitorable risks

COVID variants remain a key near-term risk – however, evidence of the infections having less severity, along with high vaccination rates in India, would help mitigate this risk. Apart from the customary oil price volatility, any disruptive Fed tightening and China-related events need to be monitored.

OVERVIEW OF MUTUAL FUND INDUSTRY

(Source : www.Amfiindia.com)

Average Assets Under Management (AAUM) of Indian Mutual Fund Industry for the month of December 2021 stood at ₹ 37,91,811 crore.

Assets Under Management (AUM) of Indian Mutual Fund Industry as on December 31, 2021 stood at ₹37,72,696 crore.

AUM of the Indian MF industry snapshot:

AUM in INR	Date	Milestones
6.11 lac crores	31-Dec-2011	
10.00 lac crores	May 2014	10 lac crs milestone
16.46 lac crores	31-Dec-2016	
20.00 lac crores	August 2017	20 lac crs milestone
30.00 lac crores	November 2020	30 lac crs milestone
37.73 lac crores	31-Dec-2021	6 times growth in 10 years 3.7 times growth in 7.5 years 2 times growth in 5 years

Folios data of the India MF industry –

May 2021	10 crore folios for the first time
31-Dec-2021	12.02 crore total folios
31-Dec-2021	9.74 crores folios in Equity, Hybrid & solutions category funds

Significant part of the Mutual Fund industry growth can be attributed to the growth & acceptance of Systematic Investment Plans (SIPs) in India in the past few years. **Systematic Investment Plan** or **SIP** as it is commonly known, is an investment plan (methodology) offered by Mutual Funds wherein one could invest a fixed amount in a mutual fund Scheme periodically at fixed intervals - say once a month instead of making a lump-sum investment. SIP has been gaining popularity among Indian MF investors, as it helps in Rupee Cost Averaging and also in investing in a disciplined manner without worrying about market volatility and timing the market.

Indian Mutual Funds have currently about 4.91 crore SIP accounts through which investors regularly invest in Indian Mutual Fund schemes. This is about 40.84% of the industry's total folios, 12.02 crore folios.

The current AUM in the SIP accounts is about 5.65 lac crores which is 14.97% of the total Industry AUM (37.73 lac crores).

During the year of 2021, investors have invested 1.14 lac crores through SIPs, monthly details of which are given below.

Month	SIP Contribution (₹ crore) - CY 2021
January	8,023
February	7,528
March	9,182
April	8,596
May	8,819

Jun	9156
July	9,609
August	9,923
September	10,351
October	10,519
November	11,005
December	11,305
Total during 2021	1,14,016

State Wise AUM break up in India

With Awareness and increasing penetration, the MF industry AUM has now reached prominence across the country. Here are the top 10 states, AUM wise, in descending order.

S. No.	State	AUM as on December 31, 2021 (in ₹)
1	Maharashtra	12,77,704.41
2	New Delhi	2,43,440.10
3	Karnataka	1,98,970.15
4	Gujarat	1,91,307.78
5	West Bengal	1,50,049.48
6	Uttar Pradesh	1,22,617.33
7	Tamil Nadu	1,21,792.92
8	Haryana	1,13,431.08
9	Others	1,05,439.47
10	Telangana	52,089.78
	Top 10 total	25,76,842.50

CAPITAL STRUCTURE

During the year, the Company has not issued any shares or convertible securities. The Company does not have any Scheme for issue of shares including sweat equity to the employees or Directors of the Company.

As on December 31, 2021, the issued, subscribed and paid up share capital of the Company stands at Rs.55,00,00,000/-, comprising of 5,50,00,000 Equity Shares of Rs.10/- each.

IMPACT OF SECOND WAVE OF COVID -19

During the second quarter of FY 2021, the second wave of COVID-19 had commenced with the situation on ground continuing to be challenging and record number of cases being recorded throughout the country. While last year was characterized by contraction in economic output and sizeable rebound, this year could experience some volatility in the interim on both domestic and global front.

The COVID-19 pandemic poses challenges to people, processes and technology, and risks to business continuity could arise due to any of these factors. Work from home policies were put in place, thereby addressing the risk to employees, and ensuring business continuity. Secure technological solutions have

been provided to offer employees a seamless working experience. Security Controls have been made more robust with access to critical applications being provided through Virtual Private Network (VPN).

MATERIAL CHANGES AND COMMITMENTS, IF ANY AFFECTING THE FINANCIAL POSITION OF THE COMPANY OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR TO WHICH THESE FINANCIAL STATEMENTS RELATE AND THE DATE OF THE REPORT

There are no material changes and commitments affecting the financial position of the Company between the end of the financial year of the Company to which the financial statements relate and the date of this report.

PUBLIC DEPOSITS

During the year under review, the Company has neither accepted deposits from the public nor from the members of the Company falling within the ambit of Section 73 to 76 of the Companies Act, 2013 and the Companies (Acceptance of Deposits) Rules, 2014. Further, the Company has not accepted any funds from the Director(s) of the Company during the financial year under review.

EXTRACT OF ANNUAL RETURN

Pursuant to 92(3) read with Section 134(3) (a) of the Companies Act, 2013, a copy of the Annual Return as the financial year end December 31, 2021 is placed on the Company's website at <https://www.miraeassetmf.co.in/downloads/statutory-disclosure/other-disclosure>.

FRAUDS REPORTED BY AUDITORS

There were no frauds reported by the Auditor under sub-section (12) of Section 143.

CONTRACTS AND ARRANGEMENTS WITH RELATED PARTIES

During the year, the Company has entered into contracts / arrangement with related parties which could be considered 'material' or which may have potential conflict with interest of the company at large. The details of these transactions are appended herewith as **Annexure 1**.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS

During the year under review, there were no significant and material orders passed by the regulators/ courts or tribunals that would impact going concern status of the Company and its future operations.

COMPANY'S POLICY ON APPOINTMENT AND REMUNERATION

The provisions of Section 178(1) relating to constitution of Nomination and Remuneration Committee are not applicable to the Company and hence the Company has not devised any policy relating to appointment of Directors, payment of Managerial remuneration, Directors qualifications, positive attributes, independence of Directors and other related matters as provided under Section 178(3) of the Companies Act, 2013.

PARTICULARS OF EMPLOYEES' REMUNERATION

Total number of employees as on December 31, 2021 were 178.

Being an unlisted company, provisions of Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 are not applicable to your Company.

DIRECTORS RESPONSIBILITY STATEMENT

Pursuant to Section 134(3)(c) of the Companies Act, 2013, your Directors, to the best of their knowledge and belief, make following statements that:

- (a) In preparation of the annual accounts for the financial year ended December 31, 2021, the applicable accounting standards read with requirements set out under Schedule III to the Act, have been followed and there are no material departures from the same;
- (b) Such accounting policies have been selected and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company as at December 31, 2021 and profit of the Company for the financial year ended on that date;
- (c) Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- (d) The annual accounts have been prepared on a going concern basis; and
- (e) The systems to ensure compliance with the provisions of all applicable laws were in place and that such systems were adequate and operating effectively.

PARTICULARS OF LOANS GIVEN/INVESTMENTS MADE/GUARANTEES GIVEN AND SECURITIES PROVIDED

The Company has not given any loans or issued any guarantees as per provisions of Section 186 of the Companies Act, 2013.

SUBSIDIARY, ASSOCIATE AND JOINT VENTURES COMPANIES

As on December 31, 2021, the Company had no Subsidiary / Joint Ventures / Associate companies.

HOLDING COMPANY

As on December 31, 2021, the Company is a wholly owned subsidiary of Mirae Asset Global Investments (India) Private Limited.

DIRECTORS AND KEY MANAGERIAL PERSONNEL

DIRECTORS

During the year under review, there were no modifications in appointment/termination/reappointment of Directors.

None of the Directors of the Company are disqualified from being appointed as Director as specified in Section 164 (2) of the Companies Act, 2013.

As on date, Mr. Swarup Anand Mohanty (DIN: 07435705) and Mr. Jun Young Hong (DIN: 07435694), Mr. Yogesh Chadha (DIN: 01681680) and Ms. Malini Thadani (DIN: 01516555) are the Directors of the Company.

KEY MANAGERIAL PERSONNEL

In accordance with the provisions of Section 2(51) and 203 of the Companies Act, 2013 read with Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, no Key Managerial Personnel were appointed during the aforesaid year.

DECLARATION BY INDEPENDENT DIRECTORS

Section 149(6) of the Companies Act, 2013 is not applicable to a Private Company. However, the Company has in terms of SEBI (Mutual Funds) Regulation, 1996, appointed Independent Directors and has received the necessary declarations from all the Independent Directors of the Company in accordance with Section 149(7) and 134(3)(d) of the Companies Act, 2013, that they meet the criteria of independence as laid out in sub-section 6 of Section 149 of the Companies Act, 2013. Further, the Independent Directors of the Company have registered themselves with Indian Institute of Corporate Affairs for empanelment in the databank of Independent Directors.

DETAILS OF BOARD MEETINGS

During the year from January 01, 2021 to December 31, 2021, the Board met 5 (five) times. The attendance of the Directors for Board meetings is as follows:

Sr. No.	Meeting Dates Directors	February 16, 2021	April 27, 2021	July 22, 2021	September 22, 2021	December 21, 2021
1.	Mr. Swarup Mohanty (DIN 07435705)	Present	Present^	Present	Present	Present
2.	Mr. Jun Young Hong (DIN 07435694)	Present	Present ^	Present	Present^	Present
3.	Mr. Yogesh Chadha (DIN: 01681680)	Present	Present^	Present^	Present^	Present
4.	Ms. Malini Thadani (DIN: 01516555)	Present^	Present^	Present^	Present^	Present

^ - Present through Audio Video conferencing

AUDITORS AND AUDITORS' REPORT

The Members had at the First Annual General Meeting held on July 24, 2020, approved the appointment of M/s. Deloitte Haskins & Sells, (ICAI Registration No. 117365W) as Statutory Auditors of the Company for the period of 5 financial years from 2020 to 2024 to hold office from the conclusion of the First AGM until the conclusion of the Sixth AGM of the Company to be held in the year 2025.

The observations made by the Auditors in their report for the year ended December 31, 2021 are appropriately dealt with in the notes forming part of the accounts which are self-explanatory and therefore, do not call for any further explanation or comments from the Board under Section 134(3)(f) of the Companies Act, 2013. The Auditors report does not contain any qualifications, reservations or adverse remarks.

REPORTING OF FRAUDS BY AUDITORS

During the year under review, the Statutory Auditors have not reported any instances committed in the Company by its Officers or Employees to the Board under Section 143(12) of the Companies Act, 2013.

AUDIT COMMITTEE AND PROVIDING VIGIL MECHANISM

During the financial year 2021, the Committee met 5 (five) times. The attendance of the members of the Committee is as follows:

Sr. No.	Meeting Dates Members	February 16, 2021	April 27, 2021	July 22, 2021	September 22, 2021	December 21, 2021
1.	Mr. Yogesh Chadha	Present	Present^	Present^	Present^	Present
2.	Mr. Swarup Mohanty	Present	Present^	Present	Present	Present

^ - Attended the meeting through Audio Visual Conferencing

VIGIL MECHANISM

The provisions of Section 177 (9) read with Rule 7 of the Companies (Meetings of Board and its Powers) Rules, 2014 relating to vigil mechanism are not applicable to the Company and hence the Company has not devised any policy relating Vigil Mechanism as provided under the Companies Act, 2013.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

The Board of Directors of the Company at their meeting held at February 27, 2021 had constituted Corporate Social Responsibility ('CSR') Committee and formulated Corporate Social Responsibility Policy ('CSR Policy') in line with Section 135 of the Companies Act, 2013 ('the Act'), amended Schedule VII of the Act and Companies (Corporate Social Responsibility) Rules, 2014 ('CSR Rules') notified by the Ministry of Corporate Affairs ('MCA').

The members of the CSR Committee are Mr. Yogesh Chadha (Independent Director), Mr. Swarup Anand Mohanty (Chief Executive Officer and Director) and Mr. Jun Young Hong (Chief Business Officer and Director)

The terms of reference of the CSR Committee includes formulation and recommendation of CSR Policy of the Company to the Board, recommending amount of expenditure for CSR activities, monitoring implementation of the CSR projects/ activities undertaken by the Company, implementation of CSR

Policy, seeking approval of the Board for the expenditure incurred for CSR activities and periodic review of CSR activities.

During the financial year 2021, the Committee met 3 (three) times. The attendance of the members of the Committee is as follows:

Sr. No.	Meeting Dates	February 16, 2021	April 27, 2021	December 21, 2021
	Members			
1.	Mr. Yogesh Chadha	Present	Present^	Present
2.	Mr. Swarup Mohanty	Present	Present^	Present
3.	Mr. Jun Young Hong	Present	Present^	Present

^ - Attended the meeting through Audio Visual Conferencing

The Corporate Social Responsibility Committee had formulated and recommended to the Board, a Corporate Social Responsibility Policy (CSR Policy) indicating the activities to be undertaken by the Company, which had been approved by the Board. The CSR Policy is disclosed on the Company's website www.miraeassetmf.co.in.

The Annual report on CSR activities is annexed as **Annexure 2** and forms part of the Director's Report.

RISK MANAGEMENT

The Company had formulated a Risk Management Policy to identify and evaluate business risks and opportunities. This framework seeks to create transparency and minimize adverse impact on the business objectives by identifying elements of risk, if any. Given the asset base and the portfolio of investments made by the Company, the Board is of the opinion that there are no major risks affecting the existence of the Company.

INTERNAL FINANCIAL CONTROLS

The Company has in place adequate internal control systems commensurate with the size of its operations. Internal control systems comprising of policies and procedures are designed to ensure sound management of the Company's operations, safekeeping of its assets, optimal utilisation of resources, reliability of its financial information and compliance. The Board is of the opinion that there exist adequate internal controls commensurate with the size and operations of the Company.

During the year under review, no material or serious observation has been received from the Statutory Auditors of the Company on the inefficiency or inadequacy of such controls.

PARTICULARS REGARDING CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

The details of conservation of energy, technology absorption, foreign exchange earnings and outgo are as follows:

(A) Conservation of energy: Not Applicable

(B) Technology absorption: Not Applicable

(C) Foreign Exchange earnings and expenditure:

Earnings in foreign currency – Rs. 8,35,75,677

Expenditure in foreign currency – Rs. 15,01,140

TRANSFER OF AMOUNTS TO INVESTOR EDUCATION AND PROTECTION FUND

Your Company did not have any funds lying unpaid or unclaimed for a period of seven years. Therefore, there were no funds which were required to be transferred to Investor Education and Protection Fund (IEPF).

DISCLOSURES UNDER SEXUAL HARASSMENT OF WOMEN AT THE WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

The Company has in place a policy for Prevention, Prohibition & Redressal of Sexual Harassment in line with requirements of Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. All employees (Permanent, temporary and trainees) are covered under the policy. An Internal Complaints Committee (POSH Committee) has been duly constituted under the said Act for the group Companies.

No complaints were received during the financial year ended December 31, 2021.

DOWNSTREAM INVESTMENTS MADE BY THE COMPANY

There were no downstream investments done by the Company for the year ended December 31, 2021.

MAINTAINANCE OF COST RECORDS

The Central Government of India has not prescribed maintenance of cost records under section 148 (1) of the Companies Act, 2013 for the activities/ functions rendered by the company.

ACKNOWLEDGMENT

The Board of Directors takes this opportunity to thank the Shareholders, Central Government, State Government, SEBI, RBI, the Trustee Company, Bankers, Registrars, Custodians and Intermediaries for the co-operation and support extended by them to the Company from time to time.

The Board also wishes to place on record its appreciation of the dedication, commitment and untiring efforts of the employees to pursue the organizational goals and objectives.

**For and on behalf of the Board of Directors of
Mirae Asset Investment Managers (India) Private Limited**

**Place: Mumbai
Date: March 07, 2022**

**Sd/-
Yogesh Chadha
Director
(DIN: 01681680)**

**Sd/-
Swarup Anand Mohanty
Director & CEO
(DIN: 07435705)**

FORM NO. AOC -2
(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014

Form for Disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub section (1) of section 188 of the Companies Act, 2013 including certain arms' length transaction under third proviso thereto.

1. Details of contracts or arrangements or transactions not at Arm's length basis for the year ended December 31, 2021.

Sl. No.	Particulars	Details
a.	Name (s) of the related party & nature of relationship	Nil
b.	Nature of contracts/arrangements/transaction	
c.	Duration of the contracts/arrangements/transaction	
d.	Salient terms of the contracts or arrangements or transaction including the value, if any	
e.	Justification for entering into such contracts or arrangements or transactions'	
f.	Date of approval by the Board	
g.	Amount paid as advances, if any	
h.	Date on which the special resolution was passed in General meeting as required under first proviso to section 188	

2. Details of contracts or arrangements or transactions at Arm's length basis for the year ended December 31, 2021.

SL. No.	Particulars	Details – I	Details – II	Details - III	Details – IV	Details –V	Details – VI	Details – VII
a)	Name(s) of the related party & nature of relationship	Mirae Asset Global Investments (HK) Limited (Fellow Subsidiary of Holding Company)	Mirae Asset Global Investment Company Limited (Ultimate Holding Company)	Mirae Asset Global Investments (India) Private Limited, (Holding Company)	Mirae Asset Global Investments (India) Private Limited, (Holding Company)	Mirae Asset Global Investments (India) Private Limited, (Holding Company)	Mirae Asset Vetur Investments (India) Private Limited (Fellow Subsidiary)	Mirae Asset Global Investment (India) Private Limited, (Holding Company)
b)	Nature of contracts/ arrangements/ transaction	Advisory services	Advisory services	Amendment in Infrastructural sharing Agreement	Amendment in Infrastructural sharing Agreement	Infrastructural sharing Agreement	Infrastructural sharing Agreement	Amendment in Infrastructural sharing Agreement

c)	Duration of the contracts/ arrangements/ transaction	Perpetual	Perpetual	One year and renewal thereafter	One year and renewal thereafter	One year and renewal thereafter	One year and renewal thereafter	One year and renewal thereafter
d)	Salient terms of the contracts or arrangements or transaction including the value, if any	Non-Binding Advisory services business at Rs. 6,90,71,378 /-	Non-Binding Advisory services business at Rs. 1,45,04,299/-	Sharing of the premises and services of the Holding company at Rs. 44,75,000 per month plus statutory levies as may be applicable for the period 01-03-2021 to 15-05-2021 on the terms and conditions as may be agreed for such services under the agreement.	Change in tenure of infra-sharing agreement w.e.f. 16-05-2021 to 30-06-21 on the terms and conditions as may be agreed for such services under the agreement.	Sharing of the premises and services of the Holding company against the consideration of Rs. 44,75,000 per month plus statutory levies as may be applicable w.e.f. 01-07-2021 to 30-06-22 on the terms and conditions as may be agreed for such services under the agreement.	Sharing of the premises and services of the Holding company against the consideration of Rs. 44,75,000 per month plus statutory levies as may be applicable w.e.f. 01-07-2021 to 30-06-22 on the terms and conditions as may be agreed for such services under the agreement.	Change in charges and tenure of infra-sharing agreement from Rs. 44,75,000 to Rs. 42,96,000 per month plus statutory levies as may be applicable w.e.f. 01.01.2022 - 31.12.2022
e)	Date of approval by the Board	November 14, 2019	November 14, 2019	February 16, 2021	April 27, 2021	July 22, 2021	December 21, 2021	December 21, 2021
f)	Amount paid as advances, if any	Nil	Nil	Nil	Nil	Nil	Nil	Nil

**For and on behalf of the Board of Directors of
Mirae Asset Investment Managers (India) Private
Limited**

**Place: Mumbai
Date: March 07, 2022**

**Sd/-
Yogesh Chadha
Director
(DIN: 01681680)**

**Sd/-
Swarup Anand Mohanty
Director & CEO
(DIN: 07435705)**

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES UNDERTAKEN DURING THE FINANCIAL YEAR 2021

1. Brief Outline on CSR Policy of Mirae Asset Investment Managers (India) Private Limited

1. A brief outline of the Company's CSR policy, including overview of projects or programs proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programs.

The Company's objective is to pro-actively support meaningful socio-economic development in India and enable a larger number of people to participate in and benefit from India's economic progress. This is based on the belief that growth and development are effective only when they result in wider access to opportunities and benefit a broader section of society

The Company's CSR initiatives will be aligned with the same principles to serve a social purpose, sustainable development of the society and the environment in which it operates. CSR activities will be undertaken in areas identified by the CSR Committee. Activities undertaken by the Company may include projects related to:

- a) Education and Skill Development

We will partner with schools, NGOs, Trust, societies, organizations and foundations providing a platform of excellence to students, expanding educational horizons/teaching methodology, working in the field of providing primary/secondary education, engaged in literacy programmes, providing vocational teachers trainings, etc., and also provide mid-day meals to school children and also partner with organizations/NGOs/Trusts which work in the field of child welfare, street children rehabilitation and other child welfare rehabilitations.

- b) Wildlife and Environmental protection

Project focused on restoring ecological balance, protection of flora and fauna, protection of animals including collaborative efforts required to train and empower institutions protecting wildlife and raise awareness amongst the people.

- c) Health Care Promotion:

Projects focused to offer health care to needy patients, building hospitals, providing medical facilities, providing free treatment/subsidized rates for treatment to children from poor family and under privileged and middle class families.

- d) Undertake any other activities enumerated in Schedule VII of the Act.

2. Composition of CSR Committee:

The Board of Directors of your Company has constituted the Corporate Social Responsibility Committee of Directors. CSR Committee is formed as per the applicable laws of the Companies

Act, 2013 and the Committee is responsible for the implementation/monitoring and review of the policy and various projects/activities undertaken under the policy.

The Members of the CSR committee are as follow:

Sr. No.	Name of the Director	Designation/ Nature of Directorship	Number of Meeting of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1	Mr. Yogesh Chadha	Independent Director	3	3
2	Mr. Swarup Anand Mohanty	Director & Chief Executive Officer	3	3
3	Mr. Jun Young Hong	Director	3	3

3. Provide the web-link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the Company.

<https://www.miraeassetmf.co.in/downloads/statutory-disclosure/csr-policy>

4. Provide the details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable
- Not Applicable

5. Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any

Sr. No.	Financial Year	Amount available for set-off from preceding financial years (in Rs)	Amount required to be setoff for the financial year, if any (in Rs)
1	January 01, 2021 to December 31, 2021	Nil	Nil

6. Average net profit of the company as per section 135(5).

The Average Net Profit of the company for last three financial years (computed as per Section 198 of Companies Act 2013)

Sr. No.	Financial year	Profit (In Rs.)
1	2018	N.A
2	2019	62,73,299
3	2020	1,05,07,03,460

	Average Net Profit	52,84,88,380
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7.

a. Two percent of average net profit of the company as per section 135(5) : Rs 1,05,69,767.6

b. Surplus arising out of the CSR projects or programmes or activities of the previous financial years:
NIL

c. Amount required to be set off for the financial year, if any: NIL

d. Total CSR obligation for the financial year (7a+7b-7c): Rs 1,05,69,767.6

8. a. CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year. (in Rs.)	Amount Unspent (in Rs.)				
	Total Amount transferred to Unspent CSR Account as per section 135(6).		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5).		
	Amount	Date of Transfer	Name of the Fund	Amount	Date of Transfer
1,05,73,000	N.A	N.A	N.A	N.A	N.A

b. Details of CSR amount spent against ongoing projects for the financial year: N.A

c. Details of CSR amount spent against other than ongoing projects for the financial year:

(1)	(2)	(3)	(4)	(5)		(6)	(7)	(8)	(9)	(10)	(11)	
Sr. No	Name of the Project	Items from the list of activities in Schedule VII to the Act	Local Area (Yes / No)	Location of the Project		Project duration	Amount Allocated for the project (in Rs.)	Amount spent in the current financial Year (in Rs.)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in Rs.).	Mode of Implementation - Direct (Yes/ No)	Mode of implementation - Through Implementing Agency	
				State	District						Name	CSR registration No.
	Mirae Asset Foundation Scholarship -	Promoting education	Yes	GJ	Ahmedabad	One Year	15,00,000	15,00,000	Nil	No	Mirae Asset Foundation	CSR00001143

	IIM Ahmedabad – FPM											
	Mirae Asset Foundation Scholarships - IIM Ahmedabad – PGP	Promoting education	Yes	GJ	Ahmedabad	One Year	15,00,000	15,00,000	Nil	No	Mirae Asset Foundation	CSR00001143
	Mirae Asset Foundation Scholarships - IIM Bangalore – FPM	Promoting education	Yes	KA	Bangalore	One Year	18,00,000	18,00,000	Nil	No	Mirae Asset Foundation	CSR00001143
	Mirae Asset Foundation Scholarships - IIM Bangalore – PGP	Promoting education	Yes	KA	Bangalore	One Year	15,00,000	15,00,000	Nil	No	Mirae Asset Foundation	CSR00001143
	Mirae Asset Foundation Scholarships - IIM Lucknow – PGP	Promoting education	Yes	UP	Lucknow -	One Year	10,00,000	10,00,000	Nil	No	Mirae Asset Foundation	CSR00001143
	Mirae Asset Foundation scholarships - SPJIMR, Mumbai – PGP	Promoting education	Yes	Mh	Mumbai	One Year	20,00,000	20,00,000	Nil	No	Mirae Asset Foundation	CSR00001143
	Mirae Asset Foundation Scholarships - NMIMS – MBA Social Entrepreneurship	Promoting education	Yes	Mh	Mumbai	One Year	10,00,000	10,00,000	Nil	No	Mirae Asset Foundation	CSR00001143

	Mirae Asset Foundation Vaccination Drive	Promoting health care by way of COVID-19 vaccination drive	Yes	Mh	Mumbai	Two times in a year (i.e. for two doses)	2,73,000	2,73,000	Nil	No	Mirae Asset Foundation	CSR00001143
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d. Amount spent in Administrative Overheads: NIL

e. Amount spent on Impact Assessment, if applicable: N.A

f. Total amount spent for the Financial Year (8b+8c+8d+8e): Rs 1,05,73,000

g. Excess amount for set off, if any:

Sr. No.	Particulars	Amount (in Rs)
1	Two percent of average net profit of the company as per section 135(5)	1,05,69,767.6
2	Total amount spent for the Financial Year	1,05,73,000
3	Excess amount spent for the financial year [(ii)-(i)]	3,232
4	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
5	Amount available for set off in succeeding financial years [(iii)-(iv)]	3,232

9. a. Details of Unspent CSR amount for the preceding three financial years: N.A

Sr. No.	Preceding Financial Year	Amount transferred to Unspent CSR Account under Section 135 (6) (in Rs.)	Amount spent in the reporting Financial Year (in Rs.)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any			Amount remaining to be spent in succeeding financial years. (in Rs.)
				Name of the Fund	Amount (in Rs.)	Date of transfer	
NA	NA	NA	NA	NA	NA	NA	NA

b. Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): N.A

1	2	3	4	5	6	7	8	9
Sr. No.	Project Id	Name of the Project	Financial Year in which the project was commenced	Project Duration	Total Amount Allocated for the project (in Rs.)	Amount spent on the project in the reporting financial year (in Rs.)	Cumulative Amount spent at the end of reporting financial year (in Rs.)	Status of the project completed / on-going
NA	NA	NA	NA	NA	NA	NA	NA	NA

10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details)

(a) Date of creation or acquisition of the capital asset(s). None

(b) Amount of CSR spent for creation or acquisition of capital asset Nil

(c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address etc. Not Applicable

(d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset). Not Applicable

11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): NA

Sd/-
Swarup Anand Mohanty
 Chief Executive office & Director
 (DIN: 01681680)

Sd/-
Yogesh Chadha
 Independent Director & Chairman of CSR Committee
 (DIN: 07435705)

Place: Mumbai
Date: March 07, 2022

Deloitte Haskins & Sells

Chartered Accountants
19th Floor, Shapath - V
S.G. Highway
Ahmedabad – 380 015
Gujarat, India

Tel: +91 79 6682 7300
Fax: +91 79 6682 7400

INDEPENDENT AUDITOR'S REPORT

To The Members of MIRAE ASSET INVESTMENT MANAGERS (INDIA) PRIVATE LIMITED

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of Mirae Asset Investment Managers (India) Private Limited ("the Company"), which comprise the Balance Sheet as at December 31, 2021, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at December 31, 2021, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing specified under section 143(10) of the Act (SAs). Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's report, but does not include the consolidated financial statements, standalone financial statements and our auditor's report thereon.
- Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the standalone financial statements, our responsibility is to read the other information and in doing so, consider whether the other

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information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the standalone financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the standalone financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report, to the extent applicable that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the relevant books of account
 - d) In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.

**Deloitte
Haskins & Sells**

- e) On the basis of the written representations received from the directors as on December 31, 2021 taken on record by the Board of Directors, none of the directors is disqualified as on December 31, 2021 from being appointed as a director in terms of Section 164(2) of the Act.
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
 - g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the Company being a private company, section 197 of the Act related to the managerial remuneration is not applicable.
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
2. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For **Deloitte Haskins & Sells**
Chartered Accountants
(Firm's Registration No. 117365W)

sd/-
Anjum A. Qazi
(Partner)
(Membership No. 104968)
(UDIN: 22104968AEGLTI6241)

Place: Mumbai

Date: March 07, 2022

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**BALANCE SHEET AS AT DECEMBER 31, 2021**

(Amount in Rs.million)

Particulars	Notes	December 31, 2021	December 31, 2020
ASSETS			
Financial Assets			
Cash and Cash Equivalents	3	3.69	6.64
Trade Receivables	4	224.24	225.34
Investments	5	3,077.14	1,369.87
Other Financial Assets	6	8.90	8.73
Non-Financial Assets			
Current Tax Assets (Net)	7	71.51	42.58
Deferred Tax Asset (Net)	10	11.03	-
Property, Plant and Equipment	11	31.35	13.79
Other Intangible Assets	12	11.99	11.69
Intangible Assets Under Development		5.28	4.41
Right of Use Asset	8	35.31	41.73
Other Non-Financial Assets	9	23.97	20.61
TOTAL		3,504.41	1,745.39
LIABILITIES AND EQUITY			
Financials Liabilities			
Trade Payables	13		
(i) Total outstanding dues of micro enterprises and small enterprises		0.18	0.62
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises		275.90	218.20
Lease Liability	32	37.40	43.10
Other Financial Liabilities	14	0.11	-
Non-Financial Liabilities			
Provisions	15	183.97	30.45
Deferred Tax Liability (Net)	10	-	10.29
Other Non-Financial Liabilities	16	69.87	43.24
Equity			
Equity Share capital	17	550.00	550.00
Other Equity	18	2,386.98	849.49
TOTAL		3,504.41	1,745.39

Significant Accounting Policies and Notes forming part of the Financial Statements

1 to 39

The notes referred to above form an integral part of the financials

In terms of our report attached

For Deloitte Haskins & Sells

Chartered Accountants

Firm Registration No: 117365W

sd/-

Anjum A. Qazi

Partner

Membership No: 104968

For Mirae Asset Investment Managers (India) Pvt. Ltd.

sd/-

Swarup Mohanty

Director & CEO

DIN : 07435705

sd/-

Yogesh Chadha

Director

DIN : 01681680

sd/-

Krishna Kanhaiya
Chief Financial Officer

sd/-

Ritesh Patel
Company Secretary
Membership No: F7738

Mumbai

Date: 07th March, 2022

Mumbai

Date: 21st February, 2022

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED DECEMBER 31, 2021

(Amount in Rs.million)

Particulars	Notes	For the year ended December, 2021	For the year ended December, 2020
Revenue From Operations			
Fees and commission Income	19	3,111.69	1,812.79
Net gain on fair value changes	20	116.87	60.14
Total Revenue From Operations		3,228.56	1,872.93
Other income	21	2.08	0.64
Total Income		3,230.64	1,873.57
EXPENSES			
Employee benefits expense	22	876.67	544.17
Finance Cost	23	3.38	4.45
Depreciation and amortization expense	24	35.41	32.09
Other expenses	25	257.09	201.54
Total Expenses		1,172.54	782.26
Profit Before Tax		2,058.10	1,091.31
Tax expense:	10		
Current tax		540.90	267.00
Deferred tax		(19.90)	5.79
Profit After Tax		521.00	272.79
OTHER COMPREHENSIVE INCOME			
Items that will not be reclassified to profit or loss			
Remeasurement of gains (losses) on defined benefit plans		0.51	(3.40)
Income tax effect		(0.13)	0.85
Total Other Comprehensive Income		0.38	(2.55)
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD		1,537.48	815.97
Earnings per equity share (Nominal value of Rs.10/- per share)			
Basic & Diluted (Rs.)	31	27.95	14.88

Significant Accounting Policies and Notes forming part of the
Financial Statements

1 to 39

The notes referred to above form an integral part of the financials

In terms of our report attached
For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No: 117365W

For Mirae Asset Investment Managers (India) Pvt. Ltd.

sd/-

sd/-

sd/-

Anjum A. Qazi
Partner
Membership No: 104968

Swarup Mohanty
Director & CEO
DIN : 07435705

Yogesh Chadha
Director
DIN : 01681680

sd/-

sd/-

Krishna Kanhaiya
Chief Financial Officer

Ritesh Patel
Company Secretary
Membership No: F7738

Mumbai
Date: 07th March, 2022

Mumbai
Date: 21st February, 2022

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED DECEMBER 31, 2021

(Amount in Rs.million)

Particulars	For the year ended December, 2021	For the year ended December, 2020
CASH FLOWS FROM OPERATING ACTIVITIES:		
Profit before income tax	2,058.10	1,091.31
Adjustments for:		
Depreciation and amortisation expense	35.41	32.09
Rent	3.95	4.32
Finance cost on Lease	3.38	4.45
Interest on security deposit - unrealised	(0.66)	(0.64)
(Gain) / Loss on disposal of property, plant and equipment	(0.82)	0.00*
Provision for employee benefits	156.52	11.33
Gain on sale of investments	(34.24)	(19.54)
Changes in fair value of financial assets at fair value through profit or loss	(82.63)	(40.60)
Change in operating assets and liabilities:		
(Increase)/Decrease in trade receivables	1.10	(64.23)
(Increase) / Decrease in other financial assets	0.49	(0.15)
(Increase) / Decrease in non-financial assets	(3.36)	(8.69)
Increase/(decrease) in trade payables	57.26	203.96
Increase/(decrease) in provisions	(2.49)	(0.05)
Increase/(decrease) in Other Financial Liabilities	0.11	-
Increase/(decrease) in Other Non-Financial Liabilities	26.64	43.02
Cash generated from operations	2,218.76	1,256.58
Less: Income taxes paid	(571.39)	(297.56)
Net cash inflow from operating activities	1,647.38	959.02
CASH FLOWS FROM INVESTING ACTIVITIES:		
Payment for intangible assets	(5.66)	(6.74)
Payments for property, plant and equipment	(25.60)	(7.38)
Intangible asset under development	(3.16)	(4.41)
Acquisition of business under common control	-	(258.00)
Payments for purchase of investments	(4,502.14)	(2,208.80)
Proceeds from sale of investments	2,911.75	1,557.60
Proceeds from sale of property, plant and equipment	0.82	0.06
Net cash outflow from investing activities	(1,623.99)	(927.67)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Principal portion of lease liability	(22.96)	(20.75)
Interest portion of lease liability	(3.38)	(4.45)
Net cash inflow (outflow) from financing activities	(26.34)	(25.20)
Net increase (decrease) in cash and cash equivalents	(2.95)	6.16
Cash and Cash Equivalents at the beginning of the financial year	6.64	0.48
Cash and Cash Equivalents at end of the year	3.69	6.64
Reconciliation of cash and cash equivalents as per the cash flow statement:		
Cash and cash equivalents as per above comprise of the following:		
Cash and cash equivalents	3.69	6.64
Balances per statement of cash flows	3.69	6.64

* Amount is less than Rs. 10 thousand

In terms of our report attached
For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No: 117365W

sd/-

Anjum A. Qazi
Partner
Membership No: 104968

Mumbai
Date: 07th March, 2022

For Mirae Asset Investment Managers (India) Pvt. Ltd.

sd/-

Swarup Mohanty
Director & CEO

sd/-

Krishna Kanhaiya
Chief Financial Officer

Mumbai
Date: 21st February, 2022

sd/-

Yogesh Chadha
Director

sd/-

Ritesh Patel
Company Secretary
Membership No: F7738

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
STATEMENT OF CHANGES IN EQUITY AS AT DECEMBER 31, 2021

A Equity Share Capital

Particulars	Number of Shares in million	Amount in million
As at December 31, 2019	55.00	550.00
Changes in Equity share capital during the previous year	-	-
As at December 31, 2020	55.00	550.00
Changes in Equity share capital during the current year	-	-
As at December 31, 2021	55.00	550.00

B Other Equity

(Amount in Rs.million)

Particulars	Reserves and Surplus		
	Retained Earnings	Capital Reserve	Total
As at December 31, 2019	(44.54)	(45.64)	(90.18)
Profit for the period	818.52	-	818.52
Total Other Comprehensive Income	(2.55)	-	(2.55)
Income tax provision on Business Transfer written back	123.70	-	123.70
As at December 31, 2020	895.13	(45.64)	849.49
Profit for the period	1,536.70	-	1,536.70
Total Other Comprehensive Income	0.78	-	0.78
As at December 31, 2021	2,432.62	(45.64)	2,386.98

In terms of our report attached
For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No: 117365W

For Mirae Asset Investment Managers (India) Pvt. Ltd.

sd/-

sd/-

sd/-

Anjum A. Qazi
Partner
Membership No: 104968

Swarup Mohanty
Director & CEO
DIN : 07435705

Yogesh Chadha
Director
DIN : 01681680

sd/-

sd/-

Krishna Kanhaiya
Chief Financial Officer

Ritesh Patel
Company Secretary
Membership No: F7738

Mumbai
Date: 07th March, 2022

Mumbai
Date: 21st February, 2022

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PRIVATE LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

NOTE 1: CORPORATE INFORMATION

Mirae Asset Investment Managers (India) Private Limited (the "Company") was incorporated on April 26, 2019 as a private limited company under the Companies Act, 2013 of India. The Company is a wholly owned subsidiary of Mirae Asset Global Investments (India) Pvt. Ltd.

Pursuant to the approval of the Shareholders and other authorities as required, the Company had bought over the Asset Management business from Mirae Asset Global Investments (India) Pvt. Ltd. (the Holding Company) on a slump sale basis with effect from January 1, 2020. The principal activity of the Company is to act as an Investment Manager to Mirae Asset Mutual Fund.

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

(a) Statement of compliance:

The Company's financial statements have been prepared in accordance with the provisions of the Companies Act, 2013 and the Indian Accounting Standards ("Ind AS") notified under the Companies (Indian Accounting Standards) Rules, 2015 and amendments thereto issued by Ministry of Corporate Affairs under section 133 of the Companies Act, 2013. In addition, the guidance notes/ announcements issued by the Institute of Chartered Accountants of India (ICAI) are also applied except where compliance with other statutory promulgations require a different treatment.

These financial statements have been approved for issue by the Board of Directors at its meeting held on February 21, 2022.

(b) Basis of Preparation:

The financial statements have been prepared on the historical cost basis except for certain financial instruments that are measured at fair values in accordance with Ind AS at the end of each reporting period. Fair value measurements under Ind AS are categorised into Level 1, 2, or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company can access at measurement date
- Level 2 inputs are inputs, other than quoted prices included within level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the valuation of assets or liabilities.

(c) Presentation of financial statements:

The Balance Sheet, the Statement of Profit and Loss and the Statement of Changes in Equity are prepared and presented in the format prescribed in the Schedule III to the Companies Act, 2013 ("the Act"). The Statement of Cash Flows has been prepared and presented in accordance with Ind AS 7 "Statement of Cash Flows". The disclosures with respect to items in the Balance Sheet and Statement of Profit and Loss, as prescribed in the Schedule III to the Act, are presented by way of notes forming part of the financial statements along with the other notes required to be disclosed under the notified Accounting Standards and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended.

Amounts in the financial statements are presented in Indian Rupee in million [1 million = 10 lakhs] rounded off to two decimal places as permitted by Schedule III to the Act. Per share data are presented in Indian Rupee to two decimals places.

(d) Operating cycle for current and non-current classification:

In the absence of the entity's normal operating cycle being clearly identifiable, its duration is assumed to be 12 months.

(e) Revenue Recognition

Revenue is measured at fair value of the consideration received or receivable. Revenue is recognised when (or as) the Company satisfies a performance obligation by transferring a promised good or service to a customer.

When (or as) a performance obligation is satisfied, the Company recognizes as revenue the amount of the transaction price (excluding estimates of variable consideration) that is allocated to that performance obligation.

The Company applies the five-step approach for recognition of revenue:

- Identification of contract(s) with customers;
- Identification of the separate performance obligations in the contract;
- Determination of transaction price;
- Allocation of transaction price to the separate performance obligations; and
- Recognition of revenue when (or as) each performance obligation is satisfied.

(i) Investment management fees:

Investment management fees are recognized on an accrual basis in accordance with the Investment Management Agreement and SEBI Regulations, based on average assets under management (“AUM”) of Mirae Asset Mutual Fund schemes, over the period of the agreement in terms of which, services are performed.

(ii) Advisory fees:

Advisory fees are accounted on an accrual basis in accordance with the Advisory Agreement and are dependent on the net asset value as recorded by the funds.

(iii) Net gain/loss on sale of investments or fair value change:

The gains/ losses on sale of investments are recognised in the Statement of Profit and Loss on the trade date. Gain or loss on sale of investments is determined after consideration of cost on a weighted average method basis. Any differences between the fair values of the financial assets classified as fair value through the profit or loss, held by the Company on the balance sheet date is recognised as an unrealised gain/loss in the statement of profit and loss.

(f) Foreign currency translation**(i) Functional and presentation currency:**

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Indian rupee (Rs.), which is Company's functional and presentation currency

(ii) Transactions and balances:

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognised in profit or loss.

(g) Property, Plant and Equipment

Tangible Property, Plant and Equipment are carried at acquisition cost, less accumulated depreciation and accumulated impairment losses, if any. The cost of property, plant and equipment includes all incidental expenses incurred for acquisition of qualifying property, plant and equipment up to the date the asset is ready for its intended use.

Subsequent expenditures related to an item of property, plant and equipment are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

Losses arising from the retirement of, and gains or losses arising from disposal of property, plant and equipment which are carried at cost are recognised in the Statement of Profit and Loss.

Intangible Assets are carried at cost, less accumulated amortization and accumulated impairment losses, if any.

Gains or losses arising from the retirement or disposal of intangible assets are determined as the difference between the net disposal proceeds and the carrying amount of the asset and recognised as income or expense in the Statement of Profit and Loss.

(h) Depreciation and amortisation

Depreciable amount for assets is the cost of an asset, or other amount substituted for cost, less its estimated residual value.

Depreciation on tangible assets has been provided on the straight-line method as per the useful life.

Asset	Economic Life
Furniture and fittings	7 years
Motor Cars	5 years
Computers	3 years

Leasehold improvements are amortised over the duration of the lease.

Intangible assets are amortised over their estimated useful life on straight line method. The estimated useful life of the intangible assets and the amortisation period are reviewed at the end of each financial year and the amortisation period is revised to reflect the changed pattern, if any.

(i) Impairment of assets

All assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

(j) Ind AS 116 - Leases

The Company as a lessee, recognises the right-of-use asset and lease liability at the lease commencement date. Initially the right-of-use asset is measured at cost which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Company's incremental borrowing rate. It is remeasured when there is a change in future lease payments arising from a change in an index

or rate, or a change in the estimate of the amount expected to be payable under a residual value guarantee, or a change in the assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero. The right-of-use asset is measured by applying cost model i.e. right-of-use asset at cost less accumulated depreciation /impairment losses. The right-of-use asset is depreciated using the straight-line method from the commencement date to the end of the lease term or useful life of the underlying asset whichever is lower. Carrying amount of lease liability is increased by interest on lease liability and reduced by lease payments made.

Lease payments associated with following leases are recognised as expense on straight-line basis:

1. Low value leases; and
2. Leases which are short-term.

(k) Employee benefits

(i) Short term employee benefits:

These benefits include compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related service. The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service.

(ii) Post-employment benefits:

(a) Defined contribution plans: The Company makes specified periodic contributions to the credit of the employees' account with the Employees' Provident Fund Organisation. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of Profit and Loss in the periods during which the related services are rendered by employees.

(b) Defined benefit plans: The present value of the obligation under defined benefit plans is determined based on actuarial valuation using the Projected Unit Credit Method. The obligation is measured at the present value of the estimated future cash flows using a discount rate based on the

market yield on government securities of a maturity period equivalent to the weighted average maturity profile of the defined benefit obligations at the Balance Sheet date.

Remeasurement, comprising actuarial gains and losses, the return on plan assets (excluding amounts included in net interest on the net defined benefit liability or asset) and any change in the effect of asset ceiling (if applicable) is recognised in other comprehensive income and is reflected in retained earnings and the same is not eligible to be reclassified to profit or loss. Defined benefit costs comprising current service cost, past service cost and gains or losses on settlements are recognised in the Statement of Profit and Loss as employee benefit expenses. Interest cost implicit in defined benefit employee cost is recognised in the Statement of Profit and Loss under finance cost. Gains or losses on settlement of any defined benefit plan are recognised when the settlement occurs. Past service cost is recognised as expense at the earlier of the plan amendment or curtailment and when the Company recognises related restructuring costs or termination benefits.

(iii) Termination benefits: Termination benefits such as compensation under employee separation schemes are recognised as expense when the company's offer of the termination benefit is accepted or when the Company recognises the related restructuring costs whichever is earlier.

(I) Financial instruments:

Financial assets and financial liabilities are recognised in the Company's balance sheet when the Company becomes a party to the contractual provisions of the instrument.

Recognised financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at FVTPL) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at FVTPL are recognised immediately in profit or loss.

If the transaction price differs from fair value at initial recognition, the Company will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognised in profit or loss on initial recognition (i.e. day 1 profit or loss);

- In all other cases, the fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability). After initial recognition, the deferred gain or loss will be released to profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would consider when pricing the asset or liability.

Financial assets:

All financial assets are recognised and derecognised on a trade date where the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned and are initially measured at fair value, plus transaction costs, except for those financial assets classified as at FVTPL. Transaction costs directly attributable to the acquisition of financial assets classified as at FVTPL are recognised immediately in profit or loss.

All recognised financial assets that are within the scope of Ind AS 109 are required to be subsequently measured at amortised cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Financial liabilities and equity:

A financial liability is a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the Company or a contract that will or may be settled in the Company's own equity instruments and is a non- derivative contract for which the Company is or may be obliged to deliver a variable number of its own equity instruments, or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Company's own equity instruments. Trade and other payables represent liabilities for goods and services provided to the Company prior to the end of financial year which are unpaid. Trade and other payables are initially recognised at fair value, and subsequently carried at amortised cost. An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

(m) Taxation:**Current Tax**

Tax on income for the current period is determined on the basis of taxable income (or on the basis of book profits wherever minimum alternate tax is applicable) and tax credits computed in accordance with the provisions of the Income Tax Act 1961, and based on the expected outcome of assessments/appeals.

Deferred Tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Company's financial statements and the corresponding tax bases used in computation of taxable profit and quantified using the tax rates and laws enacted or substantively enacted as on the Balance Sheet date.

Deferred tax assets are generally recognised for all taxable temporary differences to the extent that is probable those taxable profits will be available against which those deductible temporary differences can be utilised. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets relating to unabsorbed depreciation/business losses/losses under the head "capital gains" are recognised and carried forward to the extent of available taxable temporary differences or where there is convincing other evidence that sufficient future taxable income will be available against which such deferred tax assets can be realised. Deferred tax assets in respect of unutilised tax credits which mainly relate to minimum alternate tax are recognised to the extent it is probable of such unutilised tax credits will get realised.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of reporting period, to recover or settle the carrying amount of its assets and liabilities.

Transaction or event which is recognised outside profit or loss, either in other comprehensive income or in equity, is recorded along with the tax as applicable.

(n) Provisions, Contingent Liabilities & Contingent Assets:

Provisions are recognised only when:

- (i) An entity has a present obligation (legal or constructive) as a result of a past event; and
- (ii) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- (iii) A reliable estimate can be made of the amount of the obligation

Provision is measured using the cash flows estimated to settle the present obligation and when the effect of time value of money is material, the carrying amount of the provision is the present value of those cash flows. Reimbursement expected in respect of expenditure required to settle a provision is recognised only when it is virtually certain that the reimbursement will be received.

Contingent liability is disclosed in case of:

- (i) A present obligation arising from past events, when it is not probable that an outflow of resources will be required to settle the obligation; and
- (ii) A present obligation arising from past events, when no reliable estimate is possible.

Contingent assets are disclosed where an inflow of economic benefits is probable. Provisions, contingent liabilities and contingent assets are reviewed at each Balance Sheet date. Where the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under such contract, the present obligation under the contract is recognised and measured as a provision.

(o) Earning Per Shares

The company presents basic and diluted earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for own shares held, for the effects of all dilutive potential ordinary shares

(p) Cash and cash equivalents:

Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition) and highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

(q) Statement of Cash flow statement:

Statement of cash flows is prepared segregating the cash flows into operating, investing and financing activities. Cash flow from operating activities is reported using indirect method adjusting the net profit for the effects of:

- i) Changes during the period in inventories and operating receivables and payables transactions of a non-cash nature;
- ii) non-cash items such as depreciation, provisions, deferred taxes, unrealised foreign currency gains and losses, and undistributed profits of associates and joint ventures; and
- iii) All other items for which the cash effects are investing or financing cash flows.

Cash and cash equivalents (including bank balances) shown in the Statement of Cash Flows exclude items which are not available for general use as on the date of Balance Sheet.

Cash and cash equivalents (including bank balances) are reflected as such in the cash flow statement. Those cash and cash equivalents which are not available for general use as on the date of balance sheet are also included under this category with a specific disclosure.

(r) GST input credit:

GST input credit is recognised in the period in which the underlying service received is accounted and when there is no uncertainty in availing / utilising the credits.

(s) Investments - Fair value Measurement

Investments that are readily realisable and are intended to be held for not more than one year from the date, on which such investments are made, are classified as current investments. All other investments are classified as non-current investments. The Company measures financial instruments such as investments in mutual funds and alternate investment funds at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy.

(t) Critical Estimates and judgements

The preparation of the financial statements in conformity with Ind AS requires the management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The estimates and underlying assumptions are reviewed on an ongoing basis. The Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognised in the periods in which the results are known / materialise.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

3. CASH AND CASH EQUIVALENTS

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Balances with banks:		
- On current accounts	3.69	6.64
Cash on hand	0.00 *	0.00 *
Total	3.69	6.64

* Amount is less than Rs. 10 thousand

4. TRADE RECEIVABLES

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Unsecured Receivables		
Considered good	224.24	225.34
Total	224.24	225.34

Note:

-Average credit period ranges from 10 to 15 days

-The Company measures trade receivables at amortised cost. trade receivables are measured at transaction price.

-Expected credit loss on trade receivables: The Company applies the simplified approach for computation of expected credit loss on trade receivables as allowed under IndAS 109.

-The carrying amount of trade receivables approximates the fair value because of their short term nature.

-There are no due by directors or other officers of the company or any of them either severally or jointly with any other persons or amounts due by firms or private companies respectively in which any director is a partner or a director or a member.

Trade Receivables aging schedule

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
(i) Undisputed Trade receivables – considered good		
Less than 6 months	224.24	225.34
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-
(ii) Undisputed Trade Receivables – which have significant increase in credit risk		
Less than 6 months	-	-
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-
(iii) Undisputed Trade Receivables – credit impaired		
Less than 6 months	-	-
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-
(iv) Disputed Trade Receivables–considered good		
Less than 6 months	-	-
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-
(v) Disputed Trade Receivables – which have significant increase in credit risk		
Less than 6 months	-	-
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-
(vi) Disputed Trade Receivables – credit impaired		
Less than 6 months	-	-
6 months -1 year	-	-
1-2 years	-	-
2-3 years	-	-
More than 3 years	-	-

5. INVESTMENTS

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Investments carried at fair value through Profit and Loss		
Investments in Mutual Funds (Unquoted)	2,774.26	1,368.78
Investments in Equity Instruments (Unquoted)	7.69	1.09
Investment in Alternate Investments Fund (AIF)	295.18	-
Total	3,077.14	1,369.87
(1) Investments outside India		
At Cost	-	-
At fair value through profit and loss	-	-
Total	-	-
(2) Investments in India		
At Cost	-	-
At fair value through profit and loss	3,077.14	1,369.87
Total	3,077.14	1,369.87

6. OTHER FINANCIAL ASSETS

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Security deposits	8.90	8.73
Total	8.90	8.73

7. CURRENT TAX ASSETS (NET)

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Advance Payment of Taxes {Net of provision Rs. 811.53 million (Previous Year Rs. 267.00 million)}	71.51	42.58
Total	71.51	42.58

8. RIGHT OF USE ASSET**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Gross carrying amount	61.78	61.78
Add: Additions during the year	14.59	-
Less: Deductions during the year	(8.16)	-
Closing gross carrying amount (A)	68.21	61.78
Accumulated depreciation		
Opening accumulated depreciation	20.05	-
Add: Depreciation and impairment	19.73	20.05
Less: Deductions during the year	(6.88)	-
Closing accumulated depreciation (B)	32.90	20.05
Net carrying amount as at the end of the year (A) - (B)	35.31	41.73

9. OTHER NON-FINANCIAL ASSETS**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Prepaid Expenses	15.94	12.37
Input Tax Credit under GST	5.25	6.66
Advance to Suppliers	2.78	1.58
Total	23.97	20.61

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

10. INCOME TAX

Deferred Tax		
(Amount in Rs.million)		
Particulars	December 31, 2021	December 31, 2020
Deferred tax relates to the following:		
Accelerated Depreciation for tax purposes	(0.06)	(0.06)
Gratuity	7.12	6.03
Preliminary Expenses	1.19	0.89
Ind AS 116 - Lease	0.53	0.74
Impact of Security deposit as per Ind AS 116	0.36	0.02
Fair value of investments (routed through FVTPL)	(38.31)	(19.14)
Stock appreciation rights	38.79	1.23
Net Deferred Tax Assets / (Liabilities)	9.61	(10.29)

Movement in deferred tax liabilities/assets

Particulars	As at December 31, 2019	Movement in Profit and Loss [(debit)/credit]	As at December 31, 2020	Movement in Profit and Loss [(debit)/credit]	As at December 31, 2021
Deferred Tax Assets:					
Defined benefit obligation (gratuity and leave encashment)	3.97	2.06	6.03	1.09	7.12
Preliminary Expenses		0.89	0.89	0.30	1.19
Ind AS 116 - Lease	-	0.74	0.74	(0.21)	0.53
Impact of Security deposit as per Ind AS 116	-	0.02	0.02	0.34	0.36
Difference between book base and tax base of property, plant & equipment, investment property and intangible assets	0.44	(0.44)	-	-	-
Stock appreciation rights	-	1.23	1.23	37.56	38.79
	4.41	4.50	8.91	39.07	47.98
Deferred Tax Liabilities:					
Difference between book base and tax base of property, plant & equipment, investment property and intangible assets	-	(0.06)	(0.06)	(0.00)	(0.06)
Fair value of investments (routed through FVTPL)	(8.91)	(10.23)	(19.14)	(19.17)	(38.31)
	(8.91)	(10.29)	(19.20)	(19.17)	(38.37)
Net Deferred Tax	(4.50)	(5.79)	(10.29)	19.90	9.61

The Company offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority

Considering the probability of availability of future taxable profits in the period in which tax losses expire, deferred tax assets have not been recognised in respect of tax losses carried forward by the Company

Tax effect on OCI		
(Amount in Rs.million)		
	December 31, 2021	December 31, 2020
Opening balance	1.55	0.70
Tax effect on OCI for the period	(0.13)	0.85
Closing Balance	1.42	1.55

Major Components of income tax expense for the years ended December 31, 2021, and December 31, 2020, are as follows:

i. Income tax recognised in profit or loss		
(Amount in Rs.million)		
	December 31, 2021	December 31, 2020
Current income tax charge	540.90	267.00
Adjustment in respect of current income tax of previous year	-	-
MAT Credit Adjusted	-	-
Deferred tax		
Relating to origination and reversal of temporary differences	(19.90)	5.79
Income tax expense recognised in profit or loss	521.00	272.79

ii. Income tax recognised in OCI
(Amount in Rs.million)

	December 31, 2021	December 31, 2020
Net loss/(gain) on remeasurements of defined benefit plans	0.51	(3.40)
Income tax expense recognised in OCI	(0.13)	0.85

Reconciliation of effective tax rate
(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Accounting profit before income tax	2,058.10	1,091.31
Enacted tax rate in India	25.17%	25.17%
Income tax on accounting profits	517.98	274.66
Tax effect of:		
Expenses (allowed)/disallowed for tax purpose	2.97	(7.66)
Others	0.05	5.79
Total income tax expense as per profit or loss	521.00	272.79

Changes in tax rate

Where the applicable tax rate changed during the year, the adjustments to the deferred tax balances appear as another reconciling item in the reconciliation of accounting profit multiplied by tax rate to income tax expense.

The impact of the change in tax rate has been recognised in tax expense in profit or loss, except to the extent that it relates to items previously recognised outside profit or loss.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****11. PROPERTY, PLANT AND EQUIPMENT****Current Year****Tangible Assets:****(Amount in Rs.million)**

Particulars	Gross Block				Depreciation				Net Block	
	As at January 1, 2021	Additions	Deductions	As at December 31, 2021	As at January 1, 2021	For the year	Deductions	As at December 31, 2021	As at December 31, 2021	As at December 31, 2020
Leasehold improvements	5.06	-	-	5.06	2.12	0.99	-	3.11	1.95	2.94
Furniture and fittings	0.67	-	-	0.67	0.23	0.09	-	0.32	0.35	0.44
Motor cars	5.98	13.16	3.89	15.25	4.23	1.21	3.89	1.55	13.70	1.75
Computers	39.55	11.61	2.18	48.98	32.89	5.04	2.18	35.75	13.23	6.66
Office equipments	5.06	0.83	0.04	5.85	3.06	0.71	0.04	3.73	2.12	2.00
Total	56.32	25.60	6.11	75.81	42.53	8.04	6.11	44.46	31.35	13.79

Previous year**Tangible Assets:**

Particulars	Gross Block				Depreciation				Net Block	
	As at January 1, 2020	Additions	Deductions	As at December 31, 2020	As at January 1, 2020	For the year	Deductions	As at December 31, 2020	As at December 31, 2020	As at January 1, 2020
Leasehold improvements	5.06	-	-	5.06	1.25	0.87	-	2.12	2.94	3.81
Furniture and fittings	0.73	-	0.06	0.67	0.14	0.09	-	0.23	0.44	0.59
Motor cars	5.98	-	-	5.98	3.41	0.82	-	4.23	1.75	2.57
Computers	33.03	6.52	-	39.55	28.40	4.49	-	32.89	6.66	4.63
Office equipments	4.20	0.86	-	5.06	2.44	0.62	-	3.06	2.00	1.76
Total	49.00	7.38	0.06	56.32	35.64	6.89	-	42.53	13.79	13.36

12. INTANGIBLE ASSETS**Current Year****Intangible Assets:**

Particulars	Gross Block				Depreciation				Net Block	
	As at January 1, 2021	Additions	Deductions	As at December 31, 2021	As at January 1, 2021	For the year	Deductions	As at December 31, 2021	As at December 31, 2021	As at December 31, 2020
Computer Software	42.12	7.94	-	50.06	30.43	7.64	-	38.07	11.99	11.69
Total	42.12	7.94	-	50.06	30.43	7.64	-	38.07	11.99	11.69

Previous year**Intangible Assets:**

Particulars	Gross Block				Depreciation				Net Block	
	As at January 1, 2020	Additions	Deductions	As at December 31, 2020	As at January 1, 2020	For the year	Deductions	As at December 31, 2020	As at December 31, 2020	As at January 1, 2020
Computer Software	35.38	6.74	-	42.12	25.28	5.15	-	30.43	11.69	10.10
Total	35.38	6.74	-	42.12	25.28	5.15	-	30.43	11.69	10.10

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****13. TRADE PAYABLES****(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Total outstanding dues of micro enterprises and small enterprises (Refer to Note 33)	0.18	0.62
Total outstanding dues of creditors other than micro enterprises and small enterprises	275.90	218.20
Total	276.08	218.82

14. OTHER FINANCIAL LIABILITIES**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Others	0.11	-
Total	0.11	-

15. PROVISIONS**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Provision for employee benefits		
Gratuity (Refer to Note 35)	28.28	23.96
Leave encashment	1.57	1.59
Long Term Employee Incentive Plan	154.12	4.90
Total	183.97	30.45

16. OTHER NON FINANCIAL LIABILITIES**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Statutory Liabilities	69.87	43.24
Total	69.87	43.24

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

17. SHARE CAPITAL

i. Authorised Share Capital

(Amount in Rs.million)

Particulars	Equity Share	
	Number of shares in millions	Amount
As at December 31, 2019	55.00	550.00
Increase/(decrease) during the year	-	-
As at December 31, 2020	55.00	550.00
Increase/(decrease) during the year	-	-
As at December 31, 2021	55.00	550.00

ii. Issued and Subscribed Share Capital

Particulars	Number of shares in millions	Amount
Equity shares of Rs. 10 each issued, subscribed and fully paid		
As at December 31, 2019	55.00	550.00
Issued during the period	-	-
As at December 31, 2020	55.00	550.00
Issued during the period	-	-
As at December 31, 2021	55.00	550.00

iii. Shares held by holding

Out of equity shares issued by the company, shares held by its holding company are as below:

Particulars	As at December 31, 2021	As at December 31, 2020
Mirae Asset Global Investments (India) Pvt. Ltd., holding company Equity shares (number in millions)	55.00	55.00

iv. Details of shareholders holding more than 5% shares in the company

Name of the shareholder	As at December 31, 2021			As at December 31, 2020		
	Number of shares in millions	% holding	% Change during the year	Number of shares in millions	% holding	% Change during the year
Equity shares of Rs.10 each fully paid Mirae Asset Global Investments (India) Pvt. Ltd., holding company	55.00	100%	-	55.00	100%	-

v. Terms / Rights Attached to Equity shares:

The company has issued only one class of equity shares having a par value of Rs, 10 per share. Each shareholder is eligible for one vote per share held. In the event of liquidation, the company shareholders are eligible to receive the remaining assets of the company after distribution of all preferential amounts in proportion to their shareholdings.

vi. There are no shares allotted for consideration other than cash during 5 years immediately preceding 31st December 2021.

vii. There are no shares allotted as fully paid up by way of bonus shares during 5 years immediately preceding 31st December 2021.

viii. There are no shares bought back during 5 years immediately preceding 31st December 2021.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****18. OTHER EQUITY****(Amount in Rs.million)****i. Reserves and Surplus**

Particulars	December 31, 2021	December 31, 2020
Retained Earnings	2,432.62	895.13
Capital Reserve (Debit balance)	(45.64)	(45.64)
Total	2,386.98	849.49

(a) Retained Earnings

Particulars	December 31, 2021	December 31, 2020
Opening balance	895.13	(44.54)
Net Profit/(Loss) for the period (Includes Other Comprehensive Income)	1,537.48	815.97
Income tax liability under Business Transfer written back	-	123.70
Closing balance	2,432.62	895.13

(b) Capital Reserve

Particulars	December 31, 2021	December 31, 2020
Opening balance	(45.64)	(45.64)
Add/(Less):	-	-
Closing balance	(45.64)	(45.64)

ii. Components of Other Comprehensive Income

Particulars	December 31, 2021	December 31, 2020
Opening Balance	(4.63)	(2.08)
Remeasurement of defined benefit plan	0.38	(2.55)
Deletions during the year	-	-
Closing balance	(3.85)	(4.63)

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****19. REVENUE FROM OPERATIONS****(Amount in Rs.million)**

Particulars	For the year ended December, 2021	For the year ended December, 2020
Fees and Commission Income		
Investment management fees	2,818.87	1,712.73
AIF management fees	4.20	5.27
Advisory services	288.62	94.79
Total	3,111.69	1,812.79

20. NET GAIN ON FAIR VALUE CHANGES

Particulars	For the year ended December, 2021	For the year ended December, 2020
Net gain on assets designated as Investments		
On Mutual Fund	116.87	60.14
Total (A)	116.87	60.14
Fair Value Changes		
Realised	34.24	19.54
Unrealised	82.63	40.60
Total (B)	116.87	60.14
Total	116.87	60.14

21. OTHER INCOME

Particulars	For the year ended December, 2021	For the year ended December, 2020
Net gain on disposal of property, plant and equipment	0.82	-
Foreign Exchange Fluctuation Gain	0.24	-
Interest on Security Deposit	0.66	0.64
Miscellaneous Income	0.36	-
Total	2.08	0.64

22. EMPLOYEE BENEFITS EXPENSE

Particulars	For the year ended December, 2021	For the year ended December, 2020
Salaries, wages and bonus	687.77	503.91
Contribution to provident and other funds	18.89	15.47
Long Term Employee Incentive Plan	149.22	4.90
Outsourced service charges	8.80	8.65
Staff welfare expenses	6.34	6.41
Gratuity Expense	5.65	4.83
Total	876.67	544.17

23. FINANCE COST

(Amount in Rs.million)

Particulars	For the year ended December, 2021	For the year ended December, 2020
Interest on Lease Liability	3.38	4.45
Total	3.38	4.45

24. DEPRECIATION AND AMORTISATION EXPENSE

Particulars	For the year ended December, 2021	For the year ended December, 2020
Depreciation on tangible assets	8.04	6.89
Amortisation on intangible assets	7.64	5.15
Amortisation of Right of use asset	19.73	20.05
Total	35.41	32.09

25. OTHER EXPENSES

Particulars	For the year ended December, 2021	For the year ended December, 2020
Rent	3.95	4.32
Electricity	1.34	1.26
Repairs and maintenance		
- Others	9.75	8.15
Travelling, conveyance and car hire	5.73	4.89
Communication	10.12	11.08
Printing and stationery	5.90	3.44
Legal and professional charges	39.83	25.74
Advertisement	6.40	3.85
Business development and marketing	13.15	10.76
Foreign exchange Loss (Net)	0.28	0.27
Fund expenses	3.77	9.66
Outsourced fund accounting charges	26.43	16.87
Membership and subscription	40.35	29.32
Recruitment	2.03	0.74
Payment to Auditors	1.59	1.35
Directors fees	0.70	0.50
Insurance	6.51	2.33
Rates and taxes	0.66	0.51
Filing fees	3.87	2.41
Courier charges	11.50	8.79
Infrastructure Support Charges	52.15	54.90
Expenditure on corporate social responsibility	10.57	-
Loss on Sale/discard of Fixed Asset	-	0.00*
Miscellaneous Expenses	0.50	0.40
Total	257.09	201.54

* Amount is less than Rs. 10 thousand

(a) Details of Payments to auditors**(Amount in Rs.million)**

Particulars	For the year ended December, 2021	For the year ended December, 2020
As auditor		
Audit Fee	1.15	0.90
Tax audit fee	0.34	0.40
Other services	0.10	0.05
Total	1.59	1.35

(b) Corporate social responsibility expenditure

Particulars	For the year ended December, 2021	For the year ended December, 2020
Contribution to Mirae Asset Foundation	10.57	-
Total	10.57	-
Amount required to be spent as per Section 135 of the Act (includes b/f unpaid amount)	10.57	-
Amount spent during the year on		
(i) Construction/acquisition of an asset	-	-
(ii) on purposes other than (i) above	10.57	-

(c) Expenditure in foreign currency

Particulars	For the year ended December, 2021	For the year ended December, 2020
Subscription	1.17	0.18
Filing fees	0.15	0.43
Website Maintenance	-	0.00*
Printing and stationery	0.18	-
Total	1.50	0.62

* Amount is less than Rs. 10 thousand

(d) Earnings in foreign currency

Particulars	For the year ended December, 2021	For the year ended December, 2020
Investment Advisory fee	83.58	84.34
Total	83.58	84.34

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****26. FAIR VALUE MEASUREMENTS****i. Financial Instruments by Category**

(Amount in Rs.million)

Particulars	Carrying Amount		Fair Value	
	December 31, 2021	December 31, 2020	December 31, 2021	December 31, 2020
FINANCIAL ASSETS				
Amortised cost				
Trade Receivables	224.24	225.34	224.24	225.34
Cash and Cash Equivalents	3.69	6.64	3.69	6.64
Other Financial Assets	8.90	8.73	8.90	8.73
FVTPL				
Investments in Mutual Funds	2,774.26	1,368.78	2,774.26	1,368.78
Investments in Alternate Investment Funds	295.18	-	295.18	-
Investments in Equity Instruments	7.69	1.09	7.69	1.09
Total	3,313.96	1,610.57	3,313.96	1,610.57
FINANCIAL LIABILITIES				
Amortised cost				
Trade Payables	276.08	218.82	276.08	218.82
Lease Liability	37.40	43.10	37.40	43.10
Other Financial Liabilities	0.11	-	0.11	-
Total	313.59	261.92	313.59	261.92

The management assessed that the fair value of cash and cash equivalent, trade receivables, trade payables, and other current financial assets and liabilities approximate their carrying amounts largely due to the short term maturities of these instruments.

ii. Fair Value Hierarchy

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are recognised and measure at fair value. To provide an indication about the reliability of the inputs used in determining fair value, the company has classified its financial instruments into three levels prescribed under the Indian accounting standard. An explanation of each level follows underneath the table:

Assets and liabilities measured at fair value - recurring fair value measurement:

(Amount in Rs.million)

Particulars	Notes	Quoted prices in active markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
As at December 31, 2021					
Financial assets					
Financial Investments at FVTPL					
Mutual Funds	5	2,774.26	-	-	2,774.26
Alternate Investment Funds	5	-	-	295.18	295.18
Equity Instruments (Unquoted)	5	-	-	7.69	7.69
As at December 31, 2020					
Financial assets					
Financial Investments at FVTPL					
Mutual Funds	5	1,368.78	-	-	1,368.78
Equity Instruments (Unquoted)	5	-	-	1.09	1.09

Reconciliation of level 3 fair value measurements

Particulars	December 31, 2021	December 31, 2020
Opening balance	1.09	1.09
Purchases	341.10	-
MTM gain / (loss)	(39.31)	-
Devaluation	-	-
Purchases	-	-
Closing balance	302.88	1.09

There have been no transfers among Level 1, Level 2 and Level 3 during the period

Level 1 - Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments, traded bonds and mutual funds that have quoted price. The fair value of all equity instruments (including bonds) which are traded in the stock exchanges is valued using the closing price as at the reporting period. The mutual funds are valued using the closing NAV.

Level 2 - The fair value of financial instruments that are not traded in an active market (for example, traded bonds, over the counter derivatives) is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3 - If one or more of the significant inputs are not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity shares, contingent consideration and indemnification assets included in level 3.

iii. Valuation technique used to determine fair value

Specific Valuation techniques used to value financial instruments include:

- the use of quoted market prices or dealer quotes for similar instruments
- the fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves
- the fair value of forward foreign exchange contracts and principal swap is determined using forward exchange rates at the balance sheet date
- the fair value of foreign currency option contracts is determined using discounted cash flow analysis
- the fair value of the remaining financial instruments is determined using discounted cash flow analysis

All the resulting fair value estimates are included in level 2 except for unlisted equity securities, contingent consideration and indemnification assets, where the fair values have been determined based on present values and the discount rates used were adjusted for counterparty or own credit risk.

iv. Fair value of financial assets and liabilities measured at amortised cost

For financial assets and financial liabilities that have a short-term maturity (less than twelve months), the carrying amounts are a reasonable approximation of their fair value. Such instruments include, cash and bank balances, trade and other receivables, trade and other payables. Such amounts have been classified as Level 3 on the basis that no adjustments have been made to the balances in the balance sheet.

Further the Company considers the fair values of financial assets and financial liabilities measured at amortised cost approximates their carrying value, where fair values are calculated by discounting the future cash flows using rate adjusted for the counterparties credit risk.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****(Amount in Rs.million)****27. FINANCIAL RISK MANAGEMENT****Introduction**

Risk management is an integral part of the business practices of the Company. The framework of risk management concentrates on formalising a system to deal with the most relevant risks, building on existing management practices, knowledge and structures. The Company's senior management has the overall responsibility for the establishment and oversight of the Company's risk management framework. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities.

The financial instruments held by the Company expose it to a variety of financial risks: market risk, credit risk and liquidity risk. In addition, the company is indirectly exposed to market risk through management fee income which is determined by the assets under management. The Company uses different methods such as sensitivity analysis to measure different types of risk to which it is exposed.

a. Market Risk

Market risk is the risk that the changes in market prices, such as foreign exchange rates and equity prices will affect the Company's income or value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising returns.

(i) Foreign Exchange Risk

The company is exposed to foreign exchange risk primarily through balances arising in the normal course of business that are denominated in a currency other than the Company's functional currency. The Sensivity analysis of foreign currency receivables is depicted below

Particulars	Impact on profit after tax and equity	
	December 31, 2021	December 31, 2020
Rupees – Strengthen 1%	(0.20)	(0.84)
Rupees – Weakens 1%	0.20	0.84

(ii) Price Risk

The Company's exposure to investment in mutual funds held as FVTPL exposes it to price risk. To manage this risk, the Company diversifies its portfolio.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****(Amount in Rs.million)****b. Credit Risk**

Credit risk is the risk of financial loss to the Company if a counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from its investment transactions.

Credit risk is monitored on an ongoing basis by the Company in accordance with policies and procedures in place. The Company is exposed to credit risk from investments held in units of the funds it manages. These investments are measured at fair value through profit or loss. The company has no significant concentration of credit risk.

The Company's financial assets are cash and cash equivalents, trade receivables, staff loans etc.

Staff loans and receivables have been considered to enjoy the low credit risk as they meet the following criteria:

- i) they have a low risk of default,
- ii) the counterparty is considered, in the short term, to have a strong capacity to meet its obligations in the near term, and
- iii) the company expects, in the longer term, that adverse changes in economic and business conditions might, but will not necessarily, reduce the ability of the counterparty to fulfil its obligations.

The Company has placed security deposit with lessors for premises leased by the Company as at December 31, 2021 of Rs. 8.90 millions and December 31, 2020 of Rs.10.35 millions. The Company does not perceive any significant decline in credit risk of the lessors where the amount of security deposit is material and hence expected probability of default is considered as zero.

Cash and cash equivalents, bank deposits are held with only high rated banks/financial institutions, credit risk on them is therefore insignificant.

The Company's exposure to credit risk is limited to the carrying amount of financial assets recognised at the reporting date, as summarised below:

Particulars	December 31, 2021	December 31, 2020
Security Deposits	8.90	8.73
Staff Loans	-	0.50
Receivables (trade and other receivables)	224.24	225.34
Cash and Cash Equivalents	3.69	6.64

c. Liquidity Risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they become due. Prudent liquidity risk management implies maintaining sufficient cash and liquid investments. The Company believes that current cash and bank balances and investments in liquid investments are sufficient to meet liquidity requirements since Company has no external borrowings. Accordingly, liquidity risk is perceived to be low. The following table shows the maturity analysis of financial liabilities of the Company based on contractually agreed undiscounted cash flows as at the balance sheet date:

December 31, 2021	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	Total
Trade payables	276.08	-	-	-	-	276.08
Lease Liability	9.65	7.77	10.56	4.51	4.91	37.40
Other financial liabilities	0.11	-	-	-	-	0.11
Total	285.84	7.77	10.56	4.51	4.91	313.60

December 31, 2020	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	Total
Trade payables	218.82	-	-	-	-	218.82
Lease Liability	9.36	9.34	13.47	5.78	5.15	43.10
Other financial liabilities	-	-	-	-	-	-
Total	228.18	9.34	13.47	5.78	5.15	261.93

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****28. CAPITAL MANAGEMENT**

For the purpose of the company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Company's capital management is to maximise the shareholder value.

The management of the Company's capital position is undertaken by the management team of the Company. The management team ensures that the Company is adequately capitalised to meet economic and regulatory requirements. The management team meets on a regular basis and manages capital by taking into account key considerations which may include business developments, regulatory requirements, profitability and market movements. The management monitors the return on capital to the shareholders.

29. SEGMENT REPORTING

The Company is in the business of providing asset management services to Mirae Asset Mutual Fund and Alternate Investment Fund and Advisory Services to clients. The primary segment is identified as asset management services. As such the Company's financial statements are largely reflective of the asset management business and accordingly there is no separate reportable segment as per Ind AS 108, Operating Segment.

30. COMMITMENTS AND CONTINGENCIES**A. Commitments****(Amount in Rs.million)****Capital Commitments**

Capital expenditure contracted for at the end of the reporting period but not recognised as liabilities is as follows:

Particulars	December 31, 2021	December 31, 2020
Intangible assets	9.53	8.59
Investments in AIF (Mirae Asset Venture Opportunities Fund)	803.00	350.00
Investments in AIF (Mirae Asset Credit Opportunities Fund)	264.74	-

B. Contingent Liabilities**(Amount in Rs.million)**

Particulars	December 31, 2021	December 31, 2020
Claim against the company not acknowledged as debt	-	-

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****31. EARNINGS PER SHARE**

Particulars	Unit	December 31, 2021	December 31, 2020
Profit available to equity shareholders (A)			
Profit after tax	Rs. In million	1,537.10	818.52
Weighted average number of equity shares			
Number of share at the beginning of the year	No. in million	55.00	55.00
Shares issued during the year	No. in million	-	-
Total number of equity shares outstanding at the end of the year	No. in million	55.00	55.00
Weighted average number of equity shares (B)	No. in million	55.00	55.00
Nominal value of equity shares	Rs.	10/-	10/-
Basic and Diluted earnings per share (A) / (B)	Rs.	27.95	14.88

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****32. DISCLOSURE PURSUANT TO IND AS 116 "LEASE"**

(Amount in Rs.million)

Right-of-use asset:

Particulars	December 31, 2021	December 31, 2020
Opening ROU Recognised	61.78	-
Add: Additions during the year	14.59	61.78
Less: Deductions during the year	(8.16)	
Closing ROU Recognised (A)	68.21	61.78
Opening accumulated depreciation	20.05	-
Less: Depreciation during the year	19.73	20.05
Less: Deductions during the year	(6.88)	
Closing accumulated depreciation (B)	32.90	20.05
Closing ROU Recognised (A-B)	35.31	41.73

Lease Liability:

Particulars	December 31, 2021	December 31, 2020
Opening Lease liability	43.10	59.53
Add: Additions during the year	12.80	-
Add: Interest accrued during the year	3.38	4.45
Less: Interest paid during the year	(3.38)	(4.45)
Less: Principal Repayment during the year	(18.50)	(16.43)
Closing Lease liability	37.40	43.10

Low Value Leases/Short Term Leases:

Particulars	December 31, 2021	December 31, 2020
Low Value Assets	-	-
Short term Leases	3.95	4.32
Total	3.95	4.32

Amount recognised in profit and loss

Particulars	December 31, 2021	December 31, 2020
Depreciation expenses for the year on Right-of-use asset	19.73	20.05
Interest expense for the year on Lease Liabilities	3.38	4.45
Total	23.11	24.50

Total cash out flow on account of lease rental amounting for the current year Rs. 25.83 million (Previous year Rs.25.20 million)

Maturity analysis of lease liabilities

Particulars	December 31, 2021	December 31, 2020
Less than 1 year	17.42	18.70
More than 1 year but less than 5 years	19.00	19.25
More than 5 years	0.98	5.15
Total	37.40	43.10

Notes:

(i) Discount rate at which the lease liability is recognised as on the initial application - 8.45%

(ii) Discount rate at which the lease liability is recognised during the year - 7.50%

(ii) The company has adequate liquidity for payment of lease liabilities. The Company regularly monitors and pays lease rentals on timely manner as per the terms of the respective lease agreements

(iii) The Company has the right to extend lease term as per mutually agreed terms laid down in the respective lease agreement. The Company takes in to account effect of extended lease term while recording lease asset and lease liabilities accordingly

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****(Amount in Rs.million)****33. DETAILS OF DUES TO MICRO AND SMALL ENTERPRISES AS DEFINED UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006 (MSMED ACT, 2006)**

Particulars	December 31, 2021	December 31, 2020
Principal amount due to suppliers under MSMED Act, 2006*	0.18	0.62
Interest accrued and due to suppliers under MSMED Act, on the above amount	-	-
Payment made to suppliers (other than interest) beyond the appointed day, during the year	-	-
Interest paid to suppliers under MSMED Act, (other than Section 16)	-	-
Interest paid to suppliers under MSMED Act, (Section 16)	-	-
Interest due and payable to suppliers under MSMED Act, for payment already made	-	-
Interest accrued and remaining unpaid at the end of the year to suppliers under MSMED Act, 2006	-	-

The information has been given in respect of such vendors to the extent they could be identified as "Micro and Small" enterprises on the basis of information available with the Company. This has been relied upon by the auditors.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

(Amount in Rs.million)

34. MATURITY ANALYSIS OF ASSETS AND LIABILITIES

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

Particulars	December 31, 2021			December 31, 2020		
	Within 12 Months	After 12 Months	Total	Within 12 Months	After 12 Months	Total
Financial assets						
Cash and cash equivalents	3.69	-	3.69	6.64	-	6.64
Trade receivables	224.24	-	224.24	225.34	-	225.34
Investments	939.16	2,137.99	3,077.15	937.20	432.68	1,369.88
Other financial assets	2.17	6.73	8.90	2.40	6.33	8.73
Non- financial assets						
Current tax assets (Net)	-	71.51	71.51	-	42.58	42.58
Deferred tax assets (Net)	-	11.03	11.03	-	-	-
Property, plant and equipment	-	31.35	31.35	-	13.79	13.79
Other intangible assets	-	11.99	11.99	-	11.69	11.69
Intangibles under development	-	5.28	5.28	-	4.41	4.41
Right to use Asset	16.57	18.74	35.31	36.37	5.36	41.73
Other non-financial assets	23.77	0.20	23.97	20.25	0.36	20.61
Total Assets	1,209.60	2,294.82	3,503.92	1,228.20	517.20	1,745.40
Financial liabilities						
Trade payables	276.08	-	276.08	218.82	-	218.82
Lease liability	17.42	19.98	37.40	18.70	24.40	43.10
Other financial liabilities	0.11	-	0.11	-	-	-
Non- financial liabilities						
Provisions	3.96	180.01	183.97	3.49	26.95	30.45
Deferred Tax Liabilities	-	-	-	-	10.29	10.29
Other non-financial liabilities	69.87	-	69.87	43.24	-	43.24
Total	367.45	199.99	567.44	284.25	61.64	345.90

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****35. EMPLOYEE BENEFIT OBLIGATIONS**

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Leave obligations	1.57	1.59
Long Term Incentive Plan for Employees (Refer Note 36)	154.12	4.90
Gratuity	28.28	23.96
Total Employee Benefit Obligation	183.97	30.45

(i) Leave Obligations

The leave obligations cover the company's liability for earned leave.

The amount of the provision of INR 1.57 million (December 31, 2020: INR 1.59 million) is presented as current, since the company does not have an unconditional right to defer settlement for any of these obligations.

(ii) Post Employment obligations**Gratuity**

Every employee is entitled to a benefit equivalent to fifteen days salary last drawn for each completed year of service in line with the Payment of Gratuity Act, 1972. The same is payable at the time of separation from the Company or retirement, whichever is earlier. The benefits vest after five years of continuous service.

The amount recognised in the balance sheet and the movement in the net defined benefit obligation over the period are as follows

Particulars	Present value of obligation	Fair value of plan assets	Net amount
As at December 31, 2019	15.77	-	15.77
Current service cost	3.64	-	3.64
Interest expense/(income)	1.19	-	1.19
Total amount recognised in profit or loss	4.83	-	4.83
<i>Remeasurements</i>			
Return of plan assets, excluding amount included in interest (income)	-	-	-
(Gain)/Loss from change in demographic assumptions	-	-	-
(Gain)/Loss from change in financial assumptions	1.87	-	1.87
Experience (gains)/losses	1.53	-	1.53
Total amount recognised in other comprehensive income	3.40	-	3.40
Impact of liability assumed on account of business combination	-	-	-
Benefit payments	(0.04)	-	(0.04)
As at December 31, 2020	23.96	-	23.96
Current service cost	4.19	-	4.19
Interest expense/(income)	1.46	-	1.46
Total amount recognised in profit or loss	5.65	-	5.65
<i>Remeasurements</i>			
Return of plan assets, excluding amount included in interest (Gain)/Loss from change in demographic assumptions	-	-	-
(Gain)/Loss from change in financial assumptions	(1.35)	-	(1.35)
Experience (gains)/losses	0.83	-	0.83
Total amount recognised in other comprehensive income	(0.52)	-	(0.52)
Impact of liability assumed on account of business combination	-	-	-
Liabilities assumed/ (settled)	(0.16)	-	(0.16)
Benefit payments	(0.65)	-	(0.65)
As at December 31, 2021	28.28	-	28.28

The net liability disclosed above relates to unfunded plans are as follows:

Particulars	December 31, 2021	December 31, 2020
Present value of plan liabilities	28.28	23.96
Fair value of plan assets	-	-
Deficit of funded plan	28.28	23.96

Statement of Profit and Loss

Particulars	December 31, 2021	December 31, 2020
Employee benefit expense:		
Current service cost	4.19	3.64
Finance Cost	1.46	1.19
Net impact on the profit before tax	5.65	4.83
Remeasurements of the net defined benefit liability:		
Return of plan assets, excluding amount included in interest (income)	-	-
(Gain)/Loss from change in demographic assumptions	-	-
(Gain)/Loss from change in financial assumptions	(1.35)	1.87
Experience (gains)/losses	0.83	1.53
Net impact on the other comprehensive income before tax	(0.52)	3.40

The significant actuarial assumptions were as follows:

Particulars	December 31, 2021	December 31, 2020
Discount rate	6.85%	6.80%
Salary growth rate	10.00%	10.00%
Attrition		
Age (Years)	Rate p.a.	Rate p.a.
21 - 30	12%	12%
31 - 40	13%	13%
41 - 50	11%	11%
51 & Above	0%	0%
Mortality table	Indian Assured Lives Mortality (2012-14) Ult table	Indian Assured Lives Mortality (2012-14) Ult table

A quantitative sensitivity analysis for significant assumption as at December 31, 2021 is shown below:

Assumptions	Discount rate		Salary growth rate	
	0.5% increase	0.5% decrease	0.5% increase	0.5% decrease
Sensitivity Level				
December 31, 2021				
Impact on defined benefit obligation	(1.25)	1.35	0.72	(0.72)
% Impact	-4.42%	4.76%	2.53%	-2.55%
December 31, 2020				
Impact on defined benefit obligation	(1.13)	1.23	0.66	(0.73)
% Impact	-4.73%	5.12%	2.75%	-3.04%

The sensitivity analysis above have been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period.

The following payments are expected contributions to the defined benefit plan in future years:

Particulars	(Amount in Rs.million)	
	December 31, 2021	December 31, 2020
Expected benefits for year 1	2.40	1.90
Expected benefits for year 2	2.51	1.84
Expected benefits for year 3	2.67	1.92
Expected benefits for year 4	2.61	2.00
Expected benefits for year 5	3.22	1.94
Expected benefits for year 6	2.24	2.52
Expected benefits for year 7	1.97	1.66
Expected benefits for year 8	1.75	1.46
Expected benefits for year 9	1.53	1.30
Expected benefits for year 10 and above	40.59	34.53

The average duration of the defined benefit plan obligation at the end of the reporting period is 10 years

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****36. LONG TERM INCENTIVE PLAN FOR EMPLOYEES****(a) Long Term Incentive Rights**

The remuneration committee decided to reward selected senior management employees for their contribution to the performance of the company by granting them 677,929 Long Term Incentive rights (LTI). Eligible employees can exercise their option to receive the benefit as a one-time payment at any point during three years after the date of vesting. The vesting date for the grant dated 26 November 2020 is 15 January 2023 for 357,263 LTI rights and that for the grant dated 15 January 2021 is 15 January 2024 for 320,666 LTI rights. For the purpose of valuation, it is assumed that employees will exercise the right to receive the benefit immediately after vesting.

The break-up of the Defined Benefit Obligation between current & non-current is as follows:

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Current Liability	-	-
Non-current Liability	154.12	4.90

(b) Expense arising from Long Term Incentive transactions

Total expenses arising from long term incentive transactions recognised in profit or loss as part of employee benefit expense were as follows:

(Amount in Rs.million)

Particulars	December 31, 2021	December 31, 2020
Long Term Incentive Rights	149.22	4.90
Total Long Term Incentive Expense	149.22	4.90

(c) Financial Assumptions at the valuation date

Particulars	December 31, 2021	December 31, 2020
Discount Rate	6.85%	6.80%
Increase in Incentive Amount	0.00%	0.00%

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021****37. RELATED PARTY TRANSACTIONS****(Amount in Rs.million)****(i) List of related parties as per the requirements of Ind-AS 24 - Related Party Disclosures**

Related parties where control exists:	
Nature of relationship	Related parties
Holding Company	Mirae Asset Global Investments (India) Private Limited
Ultimate Holding Company	Mirae Asset Global Investments Company Limited
Other related parties with whom transactions have taken place:	
Fellow Subsidiary Company	Mirae Asset Venture Investments (India) Private Limited
Fellow Subsidiary Company	Mirae Asset Financial Services (India) Private Limited
Fellow Subsidiary of Holding Company	Mirae Asset Global Investments (HK) Limited
Key Management Personnel	Swarup Mohanty (Director and Chief Executive Officer)
Key Management Personnel	Jun Young Hong (Director and Chief Business Officer)

(ii) Details of transactions/ balances with related parties:

Transaction	Relationship	Name of Party	For the year ended December, 2021	For the year ended December, 2020
Advisory fee income	Ultimate Holding Company	Mirae Asset Global Investments Company Limited	14.50	13.05
Advisory fee income	Fellow Subsidiary of Holding Company	Mirae Asset Global Investments (HK) Limited	69.07	71.29
Charges for Services and Facilities provided	Holding Company	Mirae Asset Global Investments (India) Pvt. Ltd.	52.15	54.90
Reimbursement of Expenses (net)	Holding Company	Mirae Asset Global Investments (India) Pvt. Ltd.	0.16	0.16
Reimbursement of Expenses	Fellow Subsidiary Company	Mirae Asset Venture Investments (India) Pvt. Ltd.	0.01	0.06
Reimbursement of Expenses	Fellow Subsidiary Company	Mirae Asset Financial Services (India) Private Limited	0.05	-
Gratuity Divestiture	Fellow Subsidiary Company	Mirae Asset Financial Services (India) Private Limited	0.16	-
Remuneration Paid	Key Management Personnel	Swarup Mohanty	75.18	50.06
Remuneration Paid	Key Management Personnel	Jun Young Hong	32.97	21.30

*Remuneration paid to Key Management Personnel excludes provision for gratuity, since it is provided on actuarial basis for the company as a whole

(iii) Outstanding balances arising from sales/purchases of goods and services

Transaction	Relationship	Name of Party	December 31, 2021	December 31, 2020
Outstanding Receivable	Ultimate Holding Company	Mirae Asset Global Investments Company Limited	2.62	2.94
	Fellow Subsidiary of Holding Company	Mirae Asset Global Investments (HK) Limited	16.98	17.76
	Fellow Subsidiary Company	Mirae Asset Venture Investments (India) Private Limited	0.01	0.00
Outstanding Payable	Fellow Subsidiary Company	Mirae Asset Financial Services (India) Private Limited	0.11	-
	Holding Company	Mirae Asset Global Investments (India) Private Limited	-	6.29

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

(Amount in Rs.million)

38. Disclosure pursuant to Ind AS 115 "Revenue from contracts with customers"

i. Disaggregation of revenue for the year ended December 31, 2021 - Following table covers the revenue segregation in to Operating segments and Geographical areas

Particulars	Revenue from contracts with customers	Total as per P&L for the year ended December 31, 2021
Investment management fees	2,818.87	2,818.87
AlF management fees	4.20	4.20
Advisory services	288.62	288.62
TOTAL	3,111.69	3,111.69
Revenue Recognised based on performance obligations satisfied over a period of time	-	-
Revenue Recognised based on performance obligations satisfied at a point in time	3,111.69	3,111.69

Disaggregation of revenue for the year ended December 31, 2020 - Following table covers the revenue segregation in to Operating segments and Geographical areas

Particulars	Revenue from contracts with customers	Total as per P&L for the period ended December 31, 2020
Investment management fees	1,712.73	1,712.73
AlF management fees	5.27	5.27
Advisory services	94.79	94.79
TOTAL	1,812.79	1,812.79
Revenue Recognised based on performance obligations satisfied over a period of time	-	-
Revenue Recognised based on performance obligations satisfied at a point in time	1,812.79	1,812.79

ii. Reconciliation of contracted price with revenue during the year

Particulars	December 31, 2021	December 31, 2020
Revenue recognised in statement of profit & loss	3,111.69	1,812.79
Contracted prices	3,111.69	1,812.79

iii. Movement of trade receivables

Particulars	December 31, 2021	December 31, 2020
Opening Balance	225.34	161.11
Revenue recognised during the year	3,111.69	1,812.79
Amount recovered	3,112.79	1,748.56
Closing Balance	224.24	225.34

iv. The Company has not recognised any assets as on December 31, 2021 and December 31, 2020 from the costs to obtain or fulfil a contract with a customer.

MIRAE ASSET INVESTMENT MANAGERS (INDIA) PVT. LTD.
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2021

39 Note on previous year's figures

Previous year figures have been regrouped and re-classified wherever necessary to correspond with the current year's classification / disclosure.

For and on behalf of the Board of Directors

sd/-

Swarup Mohanty
Director & CEO
DIN : 07435705

sd/-

Yogesh Chadha
Director
DIN : 01681680

sd/-

Krishna Kanhaiya
Chief Financial Officer

sd/-

Ritesh Patel
Company Secretary
Membership No: F7738

Mumbai
Date: 21st February, 2022